Technological Origin of Labor Adjustments: Horizontal versus Vertical Innovation *†

Hyejin Park‡

October 9, 2021

[Click Here for the Latest Version]

Abstract

This paper constructs an endogenous growth model with establishment-level vertical and horizontal innovation choices. Vertical innovations improve the quality of the product or the production process, while horizontal innovations make firms expand to a new product line and replace firms previously operating on the existing product lines. Vertical innovation contributes to aggregate productivity growth through within-establishment productivity improvement, and horizontal innovation improves aggregate productivity through the reallocation of product lines. As a result, given the same productivity growth of a product line, horizontal innovation leads to a greater labor reallocation across establishments. The model parameters are calibrated using German establishment panel data where both vertical and horizontal innovation behaviors are surveyed directly. The calibrated model emphasizes the role of vertical innovation by accounting for productivity growth, due to the higher frequency of vertical innovation and the smaller establishment size growth after horizontal innovation. Then, the calibrated model is used to quantify the effects of the Hartz reform (which increased labor supply and reduced labor market rigidity in Germany during the mid-2000s) on aggregate productivity growth through the endogenous innovation decisions of incumbent establishments. Vertical innovation generates 87% of the dynamic gains from fast productivity growth after the reform. Therefore, changes in reallocation rates are smaller than a case with horizontal and entrant innovations as the only sources of economic growth.

Keywords: Innovation, Creative Destruction, Productivity Growth, Job Flows
JEL codes: O33, O40, E24

*I am deeply indebted to my advisors, Robert Shimer, Greg Kaplan, Simon Mongey for their guidance. I also thank Ufuk Akcigit, Gadi Barlevy, Jason Faberman, Marti Mestieri, Toshiaki Komatsu, Joshua Morris-Levenson, Marta Prato, Francisca Sara-Zaror, Younghun Shim, and participants in seminars at UChicago, Chicago Fed, and SED 2021 for their helpful comments and discussions.

†This study uses the LIAB longitudinal model, version 1975-2017, of the Linked-Employer-Employee Data (LIAB) from the IAB. Data access was provided via on-site use at the Research Data Centre (FDZ) of the German Federal Employment Agency (BA) at the Institute for Employment Research (IAB) and subsequently remote data access. DOI: 10.5164/IAB.LIABLM7517.de.en.v1.

‡University of Chicago; Email Address: hjpark0619@uchicago.edu

1 Introduction

Firm-level innovation and creative destruction have been long considered as one of the most important sources of long-run productivity growth since Schumpeter. Until recently, however, most of firm-level innovation activities are modeled to be a process *across* firms. In other words, for a product line to be improved, there must be a contender that tries to replace the current firm. A seminal paper by Aghion and Howitt (1992) models the innovation process as firms competing against each other to occupy a limited number of product lines. In this model, it is always intruders that make innovation and drive out the current top firm with newer, cutting-edge technology. This creative destruction affects the forward-looking innovation decision. Another influential paper by Klette and Kortum (2004) tries to match key facts about firm-level growth by firms' innovation decisions based on this type of external innovation. Lentz and Mortensen (2008) and Acemoglu et al. (2018) extend Klette and Kortum (2004)'s style innovation model by introducing firm heterogeneity, which improves the model fit on the cross-sectional moments substantially.

Although this type of innovation is a significant component of firm-level innovation, it implies a strong prediction on the relationship between growth and job flows. According to this branch of studies, growth always increases steadily in job reallocation rates by workers hired because the new firm replace workers hired by the old firm.

This relationship between labor market churning and growth can be more ambiguous when firms innovate on the product lines they are currently occupying. When the productivity of a product line is improved by incumbent firms, such worker replacements under external expansion do not happen. While the innovating firm increases its employment after such innovation, the amount of job creation is smaller than an expansion to a new product line. If wage increases because of more frequent innovation, the degree of job creation may even shrink with faster growth.

Thus, the correlation between growth and job reallocation depends crucially on which type of innovation is dominant in the economy. This type of question has been studied in more recent papers such as Akcigit and Kerr (2018) and Garcia-Macia et al. (2019), which both find that the innovation by incumbent firms, as opposed to entrant firms, accounts for a significant amount of steady-state growth in the United States. The key in answering which innovation type is dominant is distinguishing the two types of innovation in the data. Akcigit and Kerr (2018) use the patent-based measure. They identify an expansion to new technology clusters (external innovation) as a patent having a self-citation rate lower than 50%, and innovation on the current technology cluster (internal innovation) as a patent having a self-citation rate higher than 50%. On the other hand, Garcia-Macia et al. (2019) use a model-based approach to back out the average internal and external innovation rates. They do not use any innovation-related variables but rather use high-quality establishment-level employment data from the Census Bureau to estimate the average innovation rates through the lens of the model with different types of innovation. They conclude that given the majority of small establishment-level labor adjustments, most establishment-level innovation happens within product lines as opposed to firms innovating across product lines.

Throughout this paper, I define the two types of establishment-level innovation as vertical and horizontal innovation. First, vertical innovation improves the quality or efficiency of a product line that a firm currently owns. The German firm, 'Bosch', for example, started to make power drills in 1932 and has continuously made quality improvements on the same item until now (See the left panel of Figure 1). The newer version of drills by Bosch replaces the older version of Bosch drills. Thus, this type of innovation increases the quality of a product line without job replacements. Vertical innovation leads to within-establishment productivity growth that has limited impacts on job flows across firms[1]. In Figure 2[2], domes-

[1] All images of Figure 1 as well as the history of the company are from the website of Bosch, `https://www.bosch.com`.

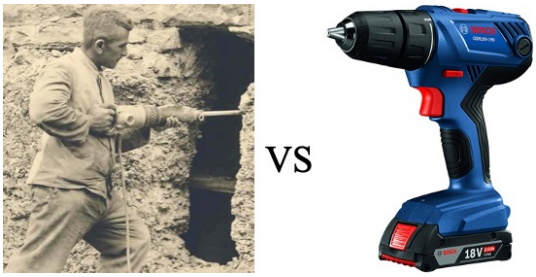
[2] All information about domestic employment of Bosch are from the company's annual reports. These reports can be found in `https://www.bosch.com/company/our-figures/`.

tic employment of Bosch did not increase after vertical quality improvements of its existing product portfolios. Rather, the company marked a slight decrease in its size after introducing new battery sensor system in 2005 and new cordless appliance series in 2013.

Second, horizontal innovation is defined as an expansion of a firm to a new product line. In the right panel of Figure 1, the same German Firm, Bosch, started to offer electric motors for the e-bike in the early 2010s. This expansion would put Bosch in competition with other firms already producing electronic motors for e-bikes. If the expanding firm, Bosch, is more productive or offers a better quality good, it hires new workers and replaces other firms. The other firms reduce their labor inputs. Thus, as a result of horizontal innovation, net job turnover takes place and productivity is enhanced through the reallocation of product lines. In Figure 3, the large growth for the company coincides with the horizontal expansion to new business areas. In 2003, the company acquired Buderus AG, a thermotechnology company, and added more employees within Germany. In 2011, Bosch opened a new department for automotive technology, which includes e-bike products, and recruited a large number of employees. Likewise, in 2022,

Figure 1: Innovation Examples of Bosch

(a) Vertical Innovation



Generations of Hand Drills by Bosch

(b) Horizontal Innovation

Bosch's expansion to E-Bike Motors

Figure 2: Vertical Improvement and Employment Growth

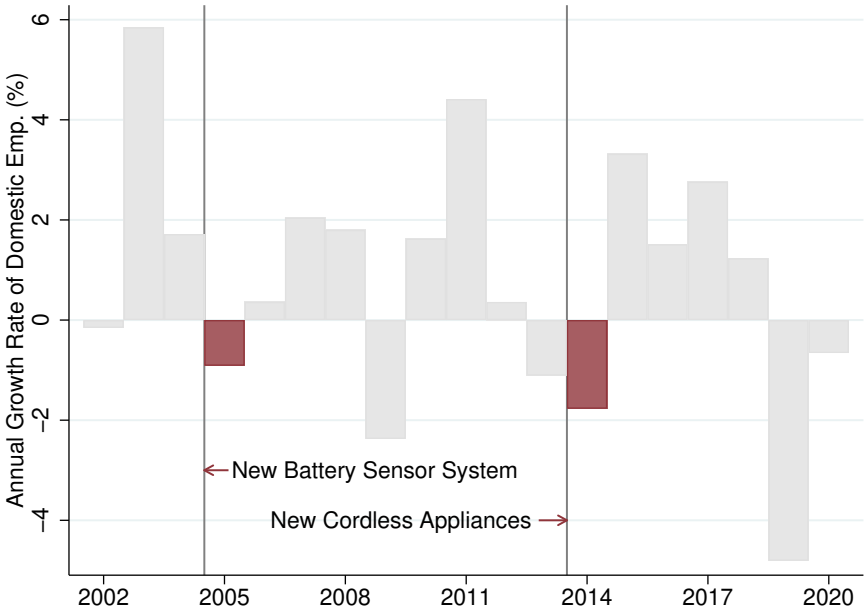
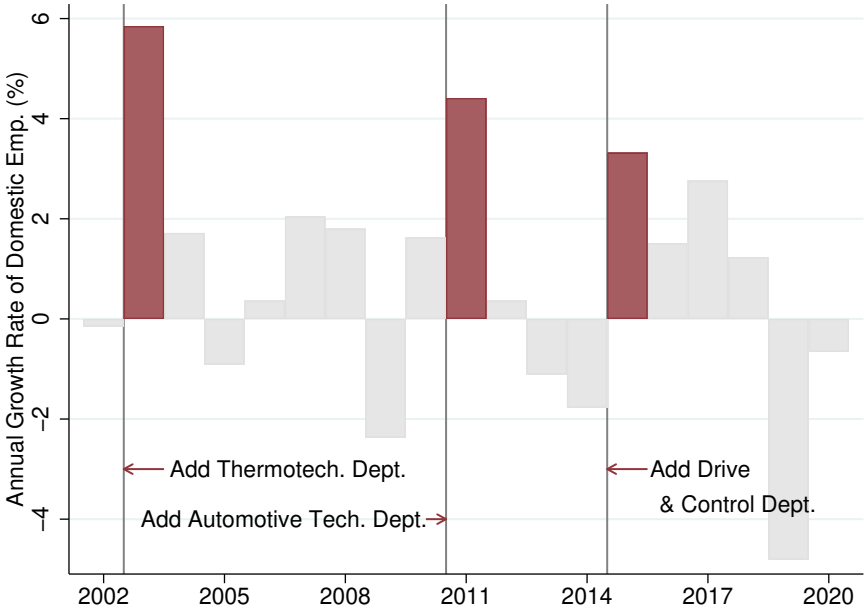


Figure 3: Horizontal Expansion and Employment Growth



In this project, I propose new findings on the relationship between vertical and horizontal innovation, aggregate growth, and job reallocation. I work with a survey-based measure of innovation from a German establishment panel to establish new facts about the correlations of innovation behaviors with employment behavior at the establishment level separately across vertical and horizontal innovations. I distinguish vertical and horizontal innovation from the survey questions that directly ask whether each establishment had improved the quality of their products, upgraded production processes, or added a new product variety into their portfolios. Then, I construct a model that embodies these facts and quantifies the impact of micro-choices regarding innovation on aggregate outcomes such as productivity growth and job reallocation. The model features endogenous vertical and horizontal innovation choice, and the underlying productivity differences affect firms' innovation decisions. This heterogeneous innovation choice is key in matching the size dependency of innovation frequency. It is distinct from Akcigit and Kerr (2018) who have constant returns to external innovation across firms, and Garcia-Macia et al. (2019) who assume fixed innovation rates. After calibrating model parameters by matching key moments from the German survey, I use the model to quantitatively assess the impact of a major labor market reform in Germany. The exercise emphasizes the interaction between labor market policies and establishment-level innovation.

The empirical analysis in this paper shows that survey-based innovation measures are associated with significant establishment growth in the innovation year. Horizontal innovation is associated with a 1.5 percentage points increase in size growth rates relative to an average establishment in the economy two years after the innovation; vertical innovation meanwhile is correlated with a slightly lower 1.2 percentage points increase in size growth compared to an average establishment. Even after controlling for serial and contemporaneous correlations between innovation events, both types of innovation predict an increase in size growth shortly after the innovation year. However, while the correlation of establishment-

level employment with horizontal innovation is accumulated and becomes even larger and more significant four years after the innovation, vertical innovation is not correlated significantly with size growth after four years. Moreover, at the sector level, the fraction of horizontally innovating establishments is significantly negatively associated with the size growth of non-innovating establishments. This negative correlation suggests the existence of creative destruction. The coefficient of vertical innovation frequency is insignificant and much smaller in magnitude.

These empirical features are incorporated in the model. Vertical innovation implies an increase in the relative productivity of the previously possessed product line. In this case, the employment increases cumulatively within product lines and the labor reallocation after vertical innovation is smaller across establishments. On the other hand, horizontal innovation adds a new product line and makes other establishments lose their current product lines. Thus, horizontal innovation leads to higher net job growth for innovating establishments and more job losses for non-innovating ones.

The model is calibrated using moments from the German survey and administrative data. The calibrated model highlights the role of vertical innovation in aggregate growth. The contribution of horizontal innovation is less than 3%, while vertical innovation accounts for 90% of the aggregate growth. This result comes from the fact that more establishments innovate vertically than horizontally. Moreover, the size growth after horizontal innovation is only about 1.3 percentage points higher than the average firm and 0.24 percentage points higher than the average among vertically innovating establishments. This small increase implies that most of the horizontal innovation in the survey is unsuccessful in poaching product lines in the market.

The quantitative model is then used to evaluate macroeconomic gains from a major labor market reform in Germany. The reform improves the welfare of the German economy through not only a static gain from more production labor inputs but also dynamic gains

from faster productivity growth. The counterfactual analysis suggests that the increase in vertical innovation contributes to substantial increases in growth rates and welfare because vertical innovation accounts for the vast majority of endogenous growth and vertical innovation responds more elastically to the reform. The size dependency of vertical innovation frequencies in the steady-state implies a higher value of vertical innovation elasticity to underlying increases in product line values. 17% of total welfare increases from the labor market reform come from dynamic gains from future output growth through more vertical, horizontal, and entrant innovation, where vertical innovation accounts for 87% of the dynamic gains.

This paper contributes to a better understanding of establishment-level innovation activities in three ways. First, this paper uses a survey-based measure to identify innovation activities. The natural distinction between horizontal and vertical innovation comes from answers to questions on different innovation activities. The two types of innovation have different impacts on the employment dynamics of innovating and competing establishments. The data analysis suggests that successful horizontal innovation is rare because the size growth after horizontal innovation is small. Moreover, larger establishments feature more frequent innovation, which implies that establishment size is associated with an underlying establishment component that incentivizes innovation. Second, this paper successfully decouples growth from labor reallocation processes by introducing vertical innovation. Schumpeterian growth models often predict that growth is strongly associated with the labor reallocation from low-quality firms to high-quality firms. However, vertical innovation dampens the link between growth and labor reallocation from creative destruction. Lastly, the counterfactual analysis about the labor market reform delivers a novel insight that an efficient labor market system encourages innovation activities and boosts productivity growth. The counterfactual exercise stresses the amplification of labor market policies through endogenous incumbent innovation choices, which is often ignored in studies on labor market reform. Vertical innova-

tion drives larger increases in welfare and growth rates after the Hartz reform. Entrant and horizontal innovations do not contribute much to the reform because their initial contributions to the economic growth are small and they respond to the change in the environment inelastically.

Related Literature

This paper contributes to the field of endogenous growth model by extending the classic innovation model à la Aghion and Howitt (1992) and Klette and Kortum (2004) with vertical innovation choice and product-line heterogeneity. Following these papers, Shumpeterian growth models have focused on horizontal innovation that replaces firms operating on the product lines with more productive new firms. Lentz and Mortensen (2008) introduce type heterogeneity of firms and productivity heterogeneity across product lines to match moments about initial firm size and firm growth rates. More recently, Acemoglu et al. (2018) add firms that are heterogeneous in terms of their innovation capacity to match the age-dependency of firm growth rates as well as the size dependency. Akcigit et al. (2021) extend the innovation model to show that the lack of expansion capacities in India explains why the country has lower GDP per capita relative to the United States. Peters (2020) incorporates issues about misallocation in the innovation literature to argue that more innovation by outsider firms is favorable towards competition. This paper incorporates the vertical innovation of incumbent firms currently operating on the product lines, as in Akcigit and Kerr (2018), Acemoglu and Cao (2015), andGarcia-Macia et al. (2019). Notably in Garcia-Macia et al. (2019), vertical innovation is key in generating small job creation by incumbent firms that are frequently observed in the data. This paper additionally introduces endogenous innovation choices to Garcia-Macia et al. (2019) and heterogeneous returns to horizontal innovation from productivity differences over product lines to Akcigit and Kerr (2018). An endogenous innovation choice makes it possible to derive welfare implications of policy changes through an endogenous innovation margin as in Atkeson and Burstein (2019). Additionally, heterogeneous

innovation enhances the model fit on the size dependency of the innovation frequencies. The calibrated further shows that vertical innovation by firms is quantitatively the most important source of long-run growth in the steady-state and increases in welfare after the Hartz reform.

Second, this paper contributes to discussions on the aggregate effect of innovation on employment. Papers on this issue often rely heavily on the underlying model to back out the importance of different types of innovation. Pissarides and Vallanti (2007) start from the theoretical observation that growth is positively correlated to unemployment if new technology is embodied in new jobs. This is rooted in the thought that the use of new technology accelerates the replacement of old jobs with new jobs. On the other hand, if new technology is embodied in all jobs, then growth is negatively correlated to unemployment - because the job creation incentives unambiguously increase with more technological advancements. Given that growth is mostly negatively correlated with unemployment in the cross-section of industrialized countries, Pissarides and Vallanti (2007) conclude that embodied technology plays no role in shaping the steady-state patterns of unemployment.

Postel-Vinay (2002) complements this idea by underscoring that the short-run response to technological improvements embodied in new jobs is an increase in employment, unlike the long-run response (due to forward-looking behaviors in the job creation side). Hornstein et al. (2007) further develop this idea by showing that the technology embodied in capital raises unemployment can explain key labor market differences between the U.S and Europe. Michau (2013), however, shows that unemployment does not necessarily increase with creative destruction if on-the-job search directly reallocates workers toward high productivity jobs. Using high-quality micro-data on establishment-level employment within the United States, Garcia-Macia et al. (2019) discover that the contribution of innovation associated with creative destruction must be minor because most job creation and destruction at the establishment level are small in magnitude than what the creative destruction model of labor

adjustment implies. Using more high-frequency business cycle data from the post-war US manufacturing industry, Davis and Haltiwanger (1999) conclude that the reallocation shock, which is equivalent to creative destruction shock in the Schumpeterian model, can explain most of the cyclical changes in labor reallocation but its impact on net employment change is ambiguous. A recent work by Faberman (2017) points out the reallocation shock became even more important in explaining cyclical variations in job creation and destruction rates after the mid-1980s. In the declining business dynamism literature, Decker et al. (2014, 2016) discuss that the lower degree of entrant innovation in the U.S. is the key factor for slower labor market churning in the U.S.; Engbom (2019) provides a novel intuition that aging population discourages for potential entrepreneurs to take business opportunities. This paper uses a direct measure of incumbent innovation at the establishment level as well as employment responses after the innovation event to evaluate the quantitative effect of different innovation types in the general equilibrium. The calibrated model predicts that horizontal innovation and resulting creative destruction have a limited role in the growth process, but that their impact on the job reallocation is more pronounced than vertical innovation.

Third, this paper contributes to the literature on an empirical measure of establishment-level innovation. Firm-level behavior of innovation is difficult to measure; economists often rely on indirect inference methods to back out innovation behavior or productivity shocks from other firm-level behaviors such as employment, output, and wage as in Lentz and Mortensen (2008), Coles and Mortensen (2016), and Garcia-Macia et al. (2019). On the other side, many studies use the patent application, grant, or citation data to measure innovation activities of a sector, an industry, or a firm. For instance, Aghion et al. (2005) use the number of patents granted in the United Kingdom to show that innovation is overall inverse-U shaped in the degree of competition at the sector level. More recently, Dorn et al. (2020) matches patent assignees in the United States Patent and Trademark Office to public firms in Compustat and states that firms more subject to import competition produce

fewer patents. Akcigit and Kerr (2018) combine patent data with Census data to inform how external and internal innovation activities proxied by patenting activities are associated with firm growth, and Kogan et al. (2017) measure the value of patents using stock market prices of firms before and after the day of patent grant[3]. This paper uses new survey-based measures of establishment-level innovation from a German panel survey to show how those innovation measures are correlated with other variables at the firm and the market level. Survey-based measures of innovation are recently getting attention in economics. Zolas et al. (2021) propose to use a new module on innovation activities in the 2018 Annual Business Survey to measure advanced technology adoption such as cloud computing and artificial intelligence.

Lastly, this paper is related to the literature that evaluates the quantitative impact of the labor market reform. Because of its scope and depth in restructuring public employment agencies, the unemployment benefit system, and employee protection, the Hartz reform has been considered one of the most important changes in the labor market system in post-war Germany. Krause and Uhlig (2012) study the effectiveness of the Hartz reform using a search and matching model of the labor market. They change the unemployment benefit scheme in the model and derive how that affects the search behavior of unemployed workers and vacancy creation decisions of firms. They conclude that the Hartz reform reduced the steady-state unemployment rate by 2.8 percentage points. More recent studies such as Launov and Wälde (2013), Launov and Wälde (2016), Bradley and Kügler (2019), and Hochmuth et al. (2021) also model frictional labor markets to quantitatively assess the effect of the reform. Most of them, with the exception of Bradley and Kügler (2019), point out that the reform reduced the unemployment rate in the economy through the reduction in unemployment benefits and more efficient matching technology. The authors also highlight that the welfare impact varies across different worker groups. This paper considers the innovation choice of

[3]For more examples, see Aghion et al. (2005, 2009); Hashmi (2013); Seru (2014); Argente et al. (2020); Webb (2019)

establishments to be another mechanism through which the reform affects the welfare of the economy. The labor market reform affects the future return to innovation by lowering wages from an increase in labor supply and removing labor market rigidity. Then, an increase in innovation may improve the welfare of the representative household in a world with positive externalities of innovation.

This paper is organized as follows: In Section 2, I explain the German establishment panel survey, show the descriptive statistics of innovation measures, and analyze a motivating relationship between incumbent innovation and firm behavior both before and after the innovation events. In Section 3, I build a quantitative model of endogenous incumbent innovation choices in the general equilibrium setting and show how productivity growth is determined on the balanced growth path. In Section 4, the model is calibrated by matching empirical moments from the German data. Lastly in Section 5, the calibrated model is used to quantitatively evaluate the impact of the Hartz reform that restructured the labor market in the mid-2000s through the endogenous incumbent innovation margin.

2 Empirical Motivation

2.1 Data Description

I use German establishment panel data to measure the two innovation activities directly. The data is from the IAB Establishment Panel (IAB-BP), a representative establishment survey of the Research Data Centre (FDZ) in Germany. The survey contains around 17,000 observations per year and is implemented annually from 1993 for Western Germany and 1996 for Eastern Germany. The data contains a wide range of establishment-level information about employment, hiring, separation, wage, business volume, investment, and innovation activities. It is possible to merge the survey to the administrative employer-

employee matched data set - the Linked Employer-Employee Data from the IAB (LIAB) - using the common establishment identifier. In order to avoid possible measurement errors, I focus on the number of employees as of June 30 in the administrative data set as my measure of establishment size.

The notion of establishment in the German data is modestly different from the U.S. Census Bureau's concept of establishment. In the U.S., establishments are distinguished by their physical location. In Germany, however, a common establishment code is shared by multiple workplaces at different locations if they belong to the same company, are physically located in the same municipality, and have the same economic class. Still, a company may hold different establishment codes across different municipalities and economic classes.

Common challenges with establishment survey data are: under-representation of entering establishments and attrition of establishment samples that are not related to the actual establishment exits. For entrants, the survey reports a question on the year of foundation in the current form[4]. I calculate the establishment age from answers to this question. Establishments who were founded either in the survey year or the previous year are defined as entrants. For exiting establishments, I identify exiting establishments from the variable indicating the last year the establishment code exists in the administrative data. Because of potential selection issues associated with establishments that exit the market and continuing establishments that simply disappear from the panel, I focus on the establishments that survive in the survey in the baseline case.

The two measures of innovation activities are derived from the answers to the following questions in the survey[5].

[4]The actual question is 'Is this establishment/office founded before/after 1990?' If the answer to the previous question is 'after 1990', then they are further asked 'Please indicate the year the establishment was founded'.

[5]The innovation module of IAB-BP has four distinct questions on the innovation activities of which the three are included. For the description of all the questions, see Appendix A.1.

1. **Horizontal Innovation**: In the last business year, did your establishment start to offer a product/service that had been available on the market before?

2. **Vertical Innovation**: In the last business year, did your establishment improve or further develop a product or service which had previously been part of your portfolio (Quality Improvement)? Or, did you develop or implement procedures in the last business year of 2015 which have noticeably improved production processes or services (Process Innovation)?

These innovation variables are surveyed consistently starting from 2008; because of this, I use observations from 2007 (2008 survey) to 2017 (2018 survey). All establishment-level observations are weighted by the cross-sectional weight constructed by the data provider. Figure 4 shows the fraction of establishments with each of the two innovation activities in each size group. Establishments are grouped by size, and size is defined by the number of employees measured two years before the survey[6]. The number of establishments is higher for bins with larger establishments because smaller establishments tend to be under-represented in the overall sampling procedure. Therefore, all regression analyses below use these cross-sectional weights from the data provider in the study. For size growth measures, I use weights that multiply the cross-sectional weight by the employment size of the establishment.

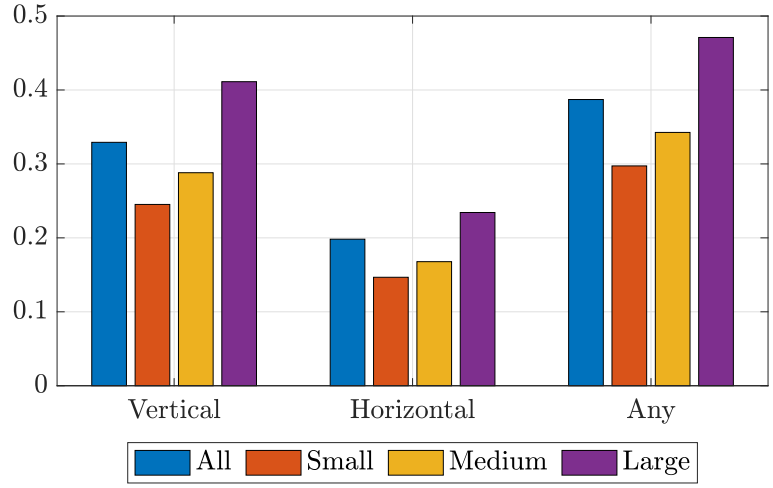
Overall, more establishments are engaged in vertical innovation than horizontal innovation. However, these two types of innovation are partially synchronized since the fraction of establishments that experienced vertical innovation is close to the fraction of establishments that experienced either vertical or horizontal innovation, or both. In the descriptive analysis and the calibration exercise in the paper, I use the unconditional moments on establishment growth after vertical and horizontal innovation. But, in Appendix A.3, I rigorously test the

[6]The survey asks about innovation activity in the previous year of the survey. As a result, the relevant predictor for the innovation frequency is the employment size as of June 30 two years before the survey. When the establishment does not have the information on the previous employment size, it is omitted from the samples used in Figure 4.

difference between vertical and horizontal innovation, I assume that the effects of vertical innovation and horizontal innovation are additively separable in the regression. By doing so, I deal with the spurious correlation between innovation events and outcome variables because of the correlation between different innovation types. Specifically, I include dummies for both types of innovation into one of the regression specifications.

In Figure 4, larger establishments are more likely to experience both vertical and horizontal innovation than smaller establishments. This size dependency will be used later in the calibration of the model. Establishment size is a (noisy) proxy for the underlying productivity of the establishment. Therefore, the size dependency of innovation frequencies informs the model of how elastic establishments are responding to the underlying differences in productivity when making an innovation decision.

Figure 4: Innovation Frequencies across Size Groups(in %)



In Appendix A.2. I compare the survey-based measure of innovation to the traditionally used patent-based measures at the sector by year level. The number of patents per establishment in each sector is positively correlated with the fraction of either horizontally or vertically innovating establishments at the sector level. The fraction of vertically innovating

establishments is positively associated with the number of internal patents[7], patents that cite the previous patents of their assignees for more than half of their total citations. However, the fraction of horizontally innovating establishments is uncorrelated with the number of external patents, patents that cite the previous patents of their assignees for less than half of their total citations.

2.2 Establishment-level Innovation and Growth

To infer the quantitative effect of innovation, I show how establishments grow unconditionally after the vertical and horizontal innovation events in the survey. Moments about unconditional growth rates after vertical and horizontal innovation (relative to an average establishment) enter the calibration exercise as targeted moments in the calibration stage. These moments inform how accurately vertical and horizontal survey answers are associated with the actual productivity increase and product line expansion. This unconditional growth rate may have underlying effects from other types of contemporaneous innovation. Additionally, innovation behavior before and after the innovation events are positively correlated with each other. Nonetheless, these moments are calculated similarly across the model and the data.

The establishment-level employment growth rate over n periods before (-) and after (+) the innovation year is defined in a similar way as Davis et al. (1998).

$$EmpGr_{it}^{n-} = 2 \times \frac{AdmSize_{it} - AdmSize_{it-n}}{AdmSize_{it} + AdmSize_{it-n}}$$
$$EmpGr_{it}^{n+} = 2 \times \frac{AdmSize_{it+n} - AdmSize_{it}}{AdmSize_{it+n} + AdmSize_{it}},$$

where $AdmSize_{it}$ is the employment size of establishment i in year t reported via the ad-

[7] This concept was used in Akcigit and Kerr (2018) to measure the innovation within incumbents' own technology clusters.

ministrative data set. Growth rates range from -2 to 2. Because of sample attrition issues, I only include establishments continuing in the sample. Thus, all entrant and exiting establishments, as well as missing samples, are excluded from the analysis.

To control for any time trend in employment at the establishment level, I normalize the growth rates of innovating establishments with the growth rates of all surviving establishments. I first calculate the means for $EmpGr_{it}^{n+,-}$ among all establishments in the sample. Then, I calculate the means for $EmpGr_{it}^{n+,-}$ among vertically or horizontally innovating establishments in year t. I adjust the growth rates of innovating establishments by subtracting the average growth rate of surviving establishments in the sample. I further normalize the rates by subtracting the respective relative growth rates in the previous year of the innovation. Then, the (normalized) relative growth rate one year before vertical or horizontal innovation becomes zero.

Figure 5: Cumulative Employment Growth before and after Innovation

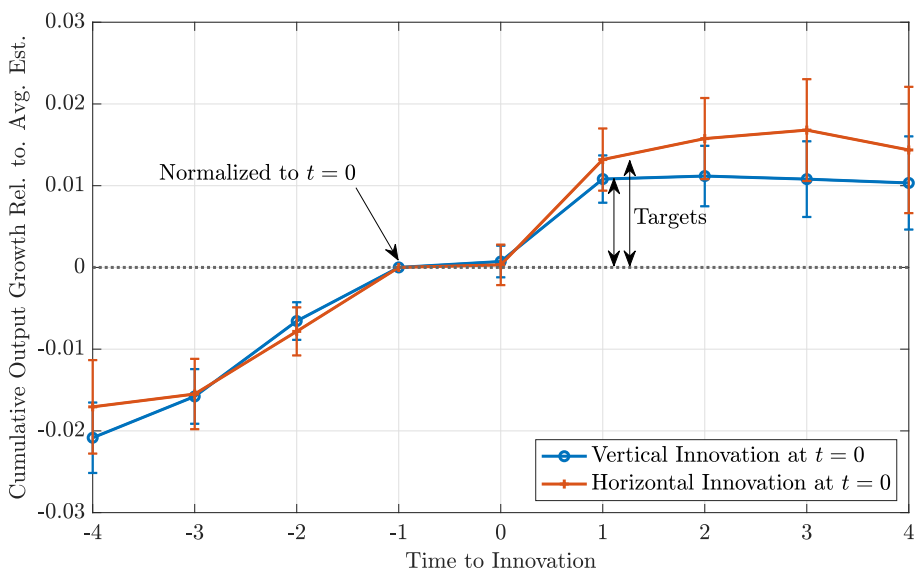


Figure 5 shows the unconditional relative employment growth rates over $n = -4, \ldots, 4$ before and after innovation events. Each observation is weighted by the initial weight multi-

plied by their initial size[8]. The establishments already had steeper size growth than average establishments before the innovation events, suggesting establishments that choose to innovate are selective in terms of their growth trend. However, the difference between growth rates of innovating establishments and average establishments becomes more distinct after the innovation year. Moreover, regression analyses in A.3 reveal that innovation events are still associated with establishment growth even after controlling for establishment fixed effects.

I use the growth rates between the previous year of the innovation and two years after the innovation. I do this because of the misalignment between the timing of innovation in the survey and the timing of employment measures in the administrative data set. Specifically, the panel survey asks about innovation activities in the previous year of the survey, while employment measures are given as of June 30 of a given year. Therefore, it is ambiguous whether the innovation that implemented quality improvement in the year 2015 has employment measured on June 30, 2015, before or after the innovation event in 2015. Thus, while I call 2015 the innovation year, the growth rate in innovation year can measure employment growth before or after the innovation event. In the empirical exercise, I find that most size increases after innovation happen between the innovation year and the following year while there is no size growth between the innovation year and the previous year.

In Appendix A.3, I rigorously show the dynamic correlation of vertical and horizontal innovation events by introducing an event-study-like specification that assumes additive separability between innovation types and innovation events over different years. The statistical model shows that vertical innovation has smaller and transitory effects on establishment-level employment while horizontal innovation has larger and more persistent effects. This is consistent with the assumption of the model that vertical innovation increases relative quality on existing product lines within establishments; its impact on employment is cumulative

[8]By initial weight or size, I mean their weight or size in $t-n$ for $n-$, and their weight or size in t for $n+$

and depreciates fast as other establishments innovate and lower relative quality over time. On the other hand, horizontal innovation adds an additional product line, possibly after taking others' product lines. As a result, the employment increment after horizontal innovation is larger, and the size increment lasts longer because a loss of the additional product line happens rarely. Additionally, Appendix A.4 shows what happens to non-innovating establishments when their competitors in the same sector innovate more frequently. The results suggest that especially horizontal innovation is associated with lower employment growth rates and higher wage growth rates among non-innovators, which confirms that horizontal innovation leads to a large-sized creative destruction and job reallocation in the economy.

2.3 Hartz Reform and Output Growth

This chapter introduces the major components of the Hartz reform. The counterfactual analysis in Section 5 evaluates the impact of the reform on innovation and aggregate growth through the lens of the quantitative model constructed in Section 3. The Hartz reform is a large-scale labor market reform that started in the early 2000s. The reform took four stages (Hartz I, II, III, and IV). The first stage of the reform took effect on January 1, 2003, and the last stage of the reform came into effect on January 1, 2005. I first describe the institutional background of the reform and show how the German economy evolved after the reform.

The Hartz reform has three cornerstones (Jacobi and Kluve, 2006). First, the reform improved the efficiency of government employment services. During the reform, government employment agencies are restructured, and the market-based mechanism is introduced to choose private employment agencies. Second, the reform incentivizes unemployed workers to find a job by reorganizing the benefits system and requiring proactive actions from unemployed workers to receive the benefits. The reform also subsidizes low-income wage earners.

Lastly, the reform deregulates the labor market by expanding temporary work contracts and reducing firm size restrictions on dismissal protection.

The German economy indeed enjoyed a larger increase in output per capita and employment after the reform. As in Figure 6, after the Hartz reform I, II, III, and IV in the mid-2000s, the German economy grew faster than in the early 2000s. At the same time, the economy experienced a sharp increase in employment among workers aged 20-64 after the reform (see Figure 7). The increases in employment rates were even steeper because the population steadily decreased during that time. This increase in employment is primarily why the establishments in Germany had higher average employment growth rates after the reform (see Figure 8). However, unlike Schumpeterian predictions that more growth comes from establishment-level replacements[9], the cross-sectional dispersion of employment growth rates at the establishment level did not increase; rather, the variance of establishment-level growth rates decreased in the periods of high aggregate output growth after the reform. Consistent with the average size growth, the job creation rate increases, but the job destruction rate decreases over the long horizon in Figure 9. Moreover, in the extensive margin, establishment exit rates decrease during the same period. Even after the employment peaked and growth slowed down after 2014, the growth rates remained high, and the job destruction rates stayed low. This implies that the type of innovation that led to the fast economic growth in late 2014 is made by incumbent firms on their previous product portfolios, which does not require large job destruction at the establishment level.

[9]For more discussions, see Caballero (2010)

Figure 6: GDP growth before and after the Hartz reform

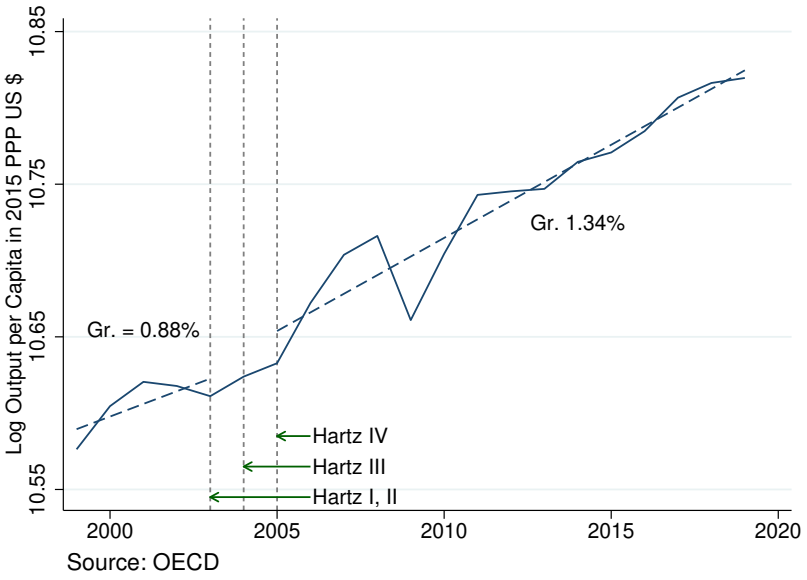


Figure 7: Employment before and after the Hartz reform

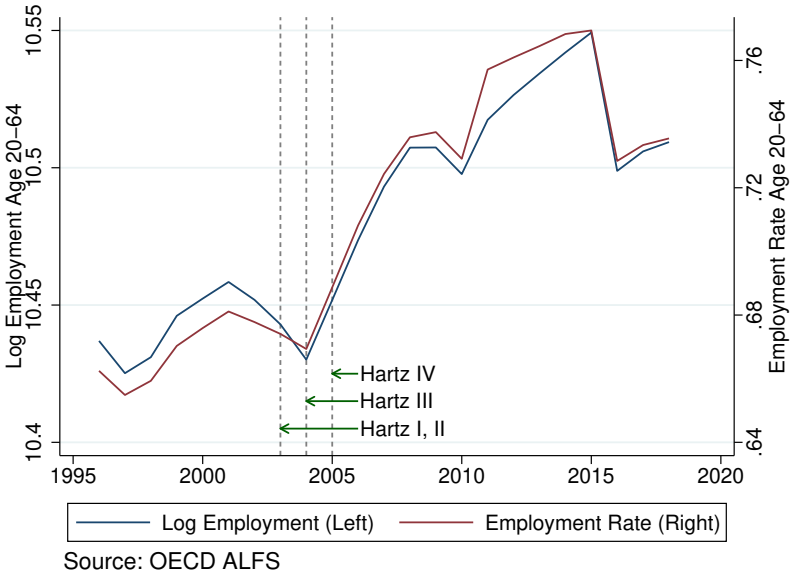
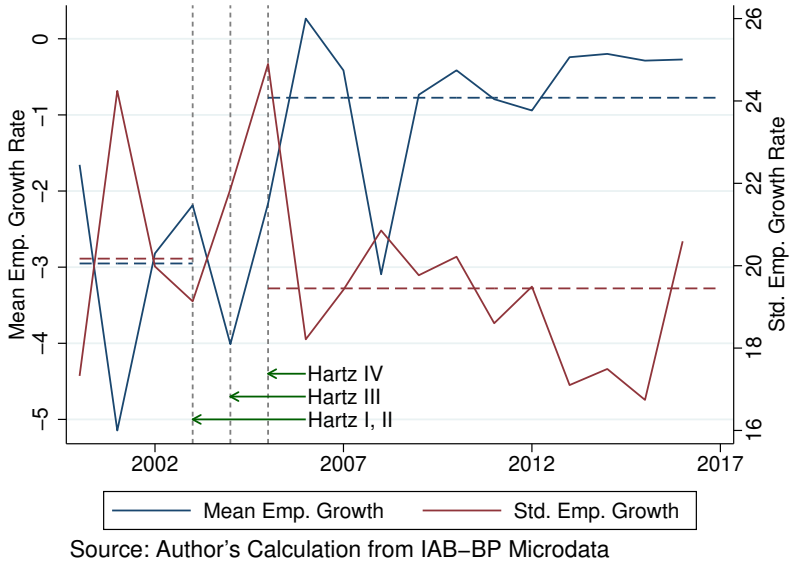
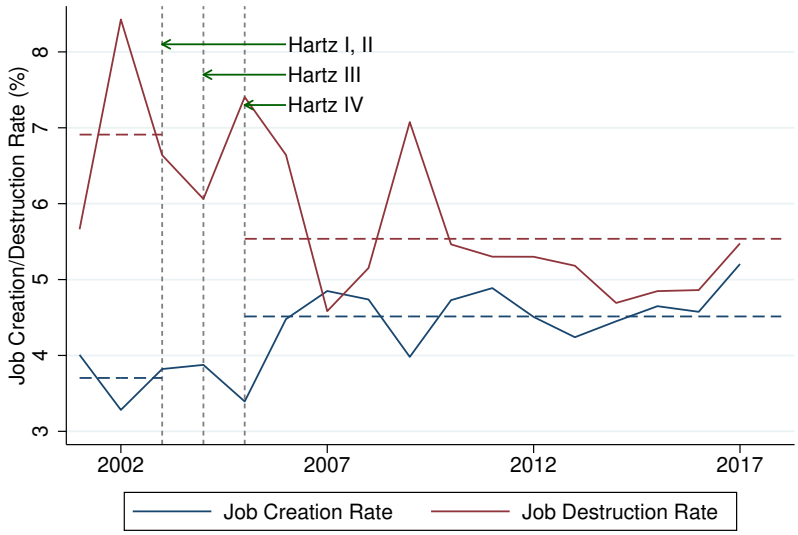


Figure 8: Mean and Dispersion in Establishment-level Growth Rates



Source: Author's Calculation from IAB–BP Microdata

Figure 9: Job Creation and Destruction Rates



Source: Author's Calculation from IAB–BP Microdata

The calibrated model in this paper emphasizes the role of vertical innovation in accel-

erating output growth and improving welfare after the Hartz reform. Thus, relative to the increment in the growth rate, the response of labor adjustment rates is smaller than in the case where horizontal innovation drives a similar growth rate increase. Moreover, horizontal innovation responds less elastically to changes in the environment. As a result, omitting the vertical innovation margin in the model leads to a substantial underestimation of welfare gains from reform.

The following findings summarize key points in the calibration and the counterfactual exercises.

1. Vertical innovation is more common than horizontal innovation.
2. Larger establishments are more likely to innovate both vertically and horizontally.
3. Employment grows after both vertical and horizontal innovation, but the effect is only slightly larger for horizontal innovation.
4. (Appendix A.4) Horizontal innovation is more strongly associated with relative job destruction of non-innovating establishments.
5. Labor market reform in Germany coincides with an increase in growth rates of output per capita as well as an increase in national employment.

3 Model

The goal of the modeling exercise is to construct a framework to quantify the effects of vertical and horizontal innovation decisions at the firm[10] level on aggregate outcomes such as productivity growth and job turnover rates. Ultimately, the model is calibrated and used to quantify the macroeconomic effects of a major labor market reform in Germany. Vertical and

[10]The unit of observation in the empirical analysis is an establishment, but I call an establishment a 'firm' in the model.

horizontal innovation choices at the firm level are endogenized and aggregated to generate productivity growth as in Akcigit and Kerr (2018). The idiosyncratic innovation process at the product-line level generates endogenous dispersion of product qualities across production lines as in Acemoglu et al. (2018).

3.1 Environments

The economy consists of representative households and both final and intermediate good producers. Representative households make a labor supply decision to the production sector, gather all labor income and business profits, and decide a consumption path. Representative households consume homogeneous final goods, and the production of the final goods does not require any labor input. Final goods are competitively produced by combining differentiated intermediate goods. Each intermediate good variety corresponds to a product line and is produced by firms operating on the product line. Products on the same product line are perfectly substituted after adjusting their quality differences while products over different product lines are imperfectly substituted. Production of intermediate goods relies on labor inputs traded in the competitive and frictionless labor market.

Intermediate producers are heterogeneous with respect to their product line portfolios $\{x_j\}_{j=1}^{N_i}$, where N_i is the number of product lines held by the firm and x_j is the relative quality[11] of the product line. The revenue of this firm per unit of time is $\sum_{j \in N_i} \pi(x_j)$. Because of the aggregate growth, the relative productivity of each product line depreciates over time without any innovation behavior.

Firms can innovate vertically. Vertical innovation is specific to each product line. They choose a Poisson rate for vertical innovation, ξ, and hire $c(\xi)$ units of labor per unit

[11] This can also be interpreted as the relative productivity because of the isomorphism between quality and inverse productivity in the Constant Elasticity of Substitution (CES) demand structure with the Constant Return to Scale (CRS) technology.

of time on a product line. This labor cost is convex in the rate of vertical innovation, i.e. $c'_\xi(\xi), c''_\xi(\xi) > 0$. If they succeed in making such innovation on a product line, the relative quality of the product line jumps by $\lambda^i \bar{x}$ instantaneously, where the $\bar{x}$ is the cross-sectional mean of x. Vertical innovation does not affect the number of product lines held by the firm, N_i.

Firms also innovate horizontally with a Poisson rate ζ at a labor cost of $wc_\zeta(\zeta)$ per unit of time on a product line. The cost of innovation is also convex, i.e. $c'_\zeta(\zeta), c''_\zeta(\zeta) > 0$. Conditional on the horizontal innovation event, a firm is matched to a vacant product line with probability p. The productivity of the firm on the new product line is simply the current productivity of the product line the horizontal innovation is based on. Without any competitor, the firm starts producing on the vacant line.

With probability $1 - p$ conditional on horizontal innovation, firms are matched with a product line that is currently occupied by another firm. I assume that only the best quality producer operates on the product line at the monopolistic price, and I rule out the probability of limit-pricing where the best quality producers charge the price that makes the second-best quality producer break even. This behavior can be micro-founded by the two-stage Bertrand game as in Akcigit and Kerr (2018)[12]. Then the expanding firm can successfully catch the production opportunity only if it is more productive than the current occupier of the matched product line. Let $F(x)$ denote the probability that the firm expanding on a product line with productivity x is more productive than randomly matched product lines. With undirected random matching, $F(x)$ is the cumulative distribution function of the relative product line quality, x. As a result, $p + (1 - p)F(x)$ is the probability that the firm gains a new product line after horizontal innovation.

[12]In the two-stage Bertrand game, all producers on the product line pay $\epsilon > 0$ to proceed to the second stage in the first stage. In the second stage, only the firms that paid in the first stage can set their price and sell in the market. In the Subgame Perfect Nash Equilibrium, only the best quality producer pays in the first stage and sets monopolist price in the second stage.

The firm loses a product line when either an expanding firm or an entering firm is matched to the product line and is more productive. The Poisson rate of this event is denoted by $\tau(x)$, and $\tau'(x) > 0$. For simplicity, this loss of a product line is assumed to be permanent. Thus, even if the producer with the best quality on the line disappears, the producers with lower qualities cannot operate on the product line again.

A firm exits the market in the two cases. First, a firm exits the market at an exogenous rate δ. In this case, all product lines held by the exiting firm are left vacant and subject to being matched with expanding and entering firms instantaneously. The probability of being matched with a vacant product line after horizontal innovation, p, is determined by the mass of exogenously exiting firms versus the mass of expanding incumbents and entrants. Second, a firm exits the market if the firm had only one product line and if the last product line is poached by another firm.

Entering firms start with one product line. An entering firm first randomly meets a product line to learn and makes vertical innovation with a step size $\lambda^e \bar{x}$. It also meets a vacant product line with the same probability as the horizontal innovation case, p, and starts producing on the matched product line. With probability $1-p$, it meets an occupied product line. It can produce on the occupied product line if and only if it is more productive than the firm currently operating on the product line.

Later, I focus on a balanced growth path (BGP) equilibrium where the interest rate is constant, the final output and the wage grow deterministically at a constant rate g_Y, the relative productivity of a product line depreciates at a constant rate g_x, and the value and the distribution over x are time-invariant. Thus, the time subscript t is omitted when there is no confusion.

3.2 Values

Again, the state variable of a firm is the set of productivity levels on product lines it occupies. Since all decisions are product line specific and the revenues from product lines are additively separable, the total firm value is the sum of product line values. Furthermore, on the BGP, the value of a product line is a product between the time-invariant value that only depends on the relative quality and the aggregate output. Appendix B.1 shows the formulation of firm-level value function as well as the multiplicative separability of product-line values between the aggregate component Y_t and the time-invariant idiosyncratic component $v(x_j)$ that only depends on the relative quality. Thus, the firm value $\mathfrak{V}_t\left(\left\{x_j\right\}_{j=1}^{N_i}\right)$ can be expressed as in the following equation.

$$\mathfrak{V}_t\left(\left\{x_j\right\}_{j=1}^{N_i}\right) = Y_t \sum_{j=1}^{N_i} v\left(x_j\right),$$

where $v(x)$ is the time-invariant component of the product line value and given by the following Hamiltonian-Jacobi-Bellman equation.

$$\begin{aligned}\left(\rho+\delta+\tau\left(x\right)\right) v\left(x\right) = \max_{\xi,\zeta\geq 0} \Bigg\{ & \pi\left(x\right) - g_x x v'\left(x\right) \\ & - w c_\xi\left(\xi\right) + \xi\left(v\left(x+\lambda^i \bar{x}\right) - v\left(x\right)\right) \\ & - w c_\zeta\left(\zeta\right) + \zeta\left(p+(1-p)F(x)\right) v\left(x\right) \\ & - \left(\tau\left(x\right)+\delta\right) \kappa w x \Bigg\}.\end{aligned}$$

In this equation, ρ is the discount rate[13], $w = W_t/Y_t$ is the wage rate relative to the final output (which is constant at over the BGP), δ the exogenous exit rate, $\tau(x)$ the creative destruction rate, $\pi(x)$ the revenue defined below, $c_\xi(\xi)$ the vertical innovation cost, and $c_\zeta(\zeta)$ the horizontal innovation cost.

Vertical innovation increases the relative quality of the product line with a constant step size, $\lambda^i \bar{x}$. Horizontal innovation, adds a new product line with the same productivity by probability $p + (1-p)F(x)$. The horizontal innovation rate is unambiguously increasing in x because the value is increasing in x. Vertical innovation is not monotone in x but tends to increase in x when x is low because the potential return to horizontal innovation is increasing faster with a higher probability of a successful expansion through a higher $F(x)$.

$\kappa \geq 0$ represents the cost of unexpected product line closures the firm must pay to fire workers. This is empirically related to severance pay and administrative costs the firm must pay to end the contract earlier than the agreed date. I assume $\kappa = 0$ in the baseline case but $\kappa > 0$ in one of the counterfactual scenarios. Section 5.1 contains more details about the interpretation of the reform in the context of the model.

The firm-level employment is expressed as the sum of employment size over product lines held by the firm, as in the following equation.

$$\sum_{j=1}^{N_i} l_{jt} = \sum_{j=1}^{N_i} \Big\{ \underbrace{\frac{\sigma-1}{\sigma}\frac{x_{jt}}{w_t}}_{\text{prod. labor}} + \underbrace{c_\zeta(\zeta(x_{jt})) + c_\xi(\xi(x_{jt}))}_{\text{R\&D labor}} \Big\}$$

The employment on each product line has two components: production and R&D labor. The production labor is linearly increasing in the relative quality x_{jt}. The R&D labor for horizontal innovation $c_\zeta(\zeta(x_{jt}))$ is also increasing in x_{jt} because the value of horizontal innovation is increasing in relative quality. The vertical innovation rate does not have an

[13] This is the same as the discount rate of the representative household, which is described below.

unambiguous relationship to x_{jt} but numerically tends to increase in x_{jt} because of a higher probability for successful horizontal innovation. As a result, vertical innovation increases employment size through higher relative quality. Similarly, without firm-level innovation shocks, firm size shrinks continuously through the depreciation of x_{jt}. On the other hand, horizontal innovation increases firm-level employment by an increase in N_i. This effect is more long-lasting than vertical innovation even without further innovation events because the product line loss, or creative destruction, is a numerically infrequent event. Creative destruction likewise reduces firm-level employment by a decrease in N_i.

3.3 Entry

Like vertical and horizontal innovation, entrant innovation also requires labor inputs. Entrants must hire $c(\chi)$ units of labor to enter the market and draw initial productivity as a fixed cost of entry. The free entry condition determines the rate of firm entry, χ.

$$wc_{\chi}(\chi) = \chi\left(\int (p + (1-p)F(x + \lambda^e \bar{x}))v(x + \lambda^e \bar{x})dF(x)\right).$$

In the free entry equation, $c_{\chi}(\chi)/\chi$ is a cost per entry and increasing in χ. Entrant innovation also requires labor input, and the average cost of entrant innovation is increasing in equilibrium entry rate.

3.4 Final Goods Production

Homogeneous final goods are competitively produced by aggregating intermediate goods over different product lines with constant elasticity of substitution. The final good is the numeraire.

$$Y_t = \left(\int_0^1 a_{jt} y_{jt}^{\frac{\sigma-1}{\sigma}} dj\right)^{\frac{\sigma}{\sigma-1}},$$

where $\sigma > 1$ is the elasticity of substitution, a_{jt} is the quality of the intermediate good from product line j at time t, and $j \in [0, 1]$ is the normalized set of product lines. As described before, intermediate inputs on the same product line are perfectly substituted up to quality units while intermediate inputs over different product lines are imperfectly substituted with a finite elasticity of substitution, σ. As a result, only the firm with the highest quality operates on a product line in equilibrium.

After the two-stage Bertrand game described above, the firm sets a price that maximizes the revenue taking the demand of final good producers as given. The quality of the firm shifts the demand curve given the same price but does not affect the demand elasticity thus has no impact on the mark-up. The profit maximization problem is described in the following equation.

$$p_{jt} = \arg\max_{p_{jt}} \left\{ y_{jt} p_{jt} - W_t y_{jt} \right\},$$

subject to

$$y_{jt} = a_{jt}^{\sigma} Y_t P_t^{\sigma} \left(p_{jt} \right)^{-\sigma}$$

where $P_t := \left(\int_0^1 a_{jt}^{\sigma} p_{jt}^{1-\sigma} dj \right)^{\frac{1}{1-\sigma}}$ is the quality-adjusted average input price index and W_t is the wage for unit labor. In equilibrium, $P_t = 1$ for zero-profit of final good producers. The labor productivity is normalized to one on all product lines so that one labor unit is converted to one unit of intermediate goods[14]. The monopolists' pricing follows a simple constant mark-up rule, $p_{jt} = \sigma/(\sigma - 1) W_t$. In equilibrium where all prices are set by this

[14]This specification is isomorphic to a case with production efficiency improvements. For this reason, I included both quality improvement and process innovation into my definition of vertical innovation in the empirical analysis.

rule, the zero-profit condition for final good producers can be written as

$$\frac{\sigma}{\sigma-1}W_t = A_t := \left(\int_0^1 a_{jt}^{\sigma} dj\right)^{\frac{1}{\sigma-1}}.$$

Thus, in the equilibrium, the wage must increase with the average quality index in the economy. Moreover, the labor market demand aggregation yields the following equation.

$$L_t^p := \int l_{jt} dj = Y_t A_t^{-1}.$$

L_t^p is the aggregate labor demand for production. Thus, for a fixed production labor input, Y_t increases linearly in A_t. Consequently, in a BGP equilibrium where the quantity of labor supply is fixed and Y_t increases at a constant rate, W_t increases linearly in Y_t. In this case, I can define the value-added only as a function of relative quality, x_{jt}.

$$\pi_t(x_{jt}) = Y_t \pi(x_{jt}) := Y_t \left(\frac{1}{\sigma}\right) x_{jt}.$$

In this function, $x_{jt} := a_{jt}^{\sigma}/A_t^{1-\sigma}$.[15] It can be further shown that the production labor input demand is also linear in x_{jt}.

Vertical innovation improves the quality of the product line with a_{jt} by some step size so that the innovation step size is constant in relative quality x_{jt}. See Appendix B.2 for the explanation and the mapping between the step sizes. Appendix A.3 further provides rationales for the constant step size for vertical innovation and constant productivity on the new product line after horizontal innovation.

[15] This definition of x_{jt} implies that $\bar{x} := \int x_{jt} dj = 1$. Moreover, this definition implies a constant depreciation rate of x_{jt} at rate $g_Y \times (\sigma - 1)$ without any changes in a_{jt} on the BGP.

3.5 Representative Household

The household block follows a standard-setting in the Schumpeterian growth model literature such as Acemoglu et al. (2018). The representative household gathers all labor incomes and profits of firms together and determines a consumption path, given the sequences of wage $\{W_t\}_{t\geq 0}$ and real interest rates $\{r_t\}_{t\geq 0}$. The representative household maximizes the following lifetime utility:

$$\max_{C_t} \int_0^\infty e^{-\rho t} \left(\log(C_t) - \frac{\phi L_t^{1+\frac{1}{\eta}}}{1+\frac{1}{\eta}} \right) dt$$

subject to

$$C_t + \dot{b}_t = W_t(1-\omega_L)L_t + \int_0^1 \pi_{jt} dj + r_t b_t + \omega_L W_t \tilde{L}_t$$

where the right-hand side is the total income of the household and b_t is the real bond holding with zero net supply. The income of the household is the sum of all the labor earnings ($(1-\omega_L)W_t L_t$), the profits net of innovation costs (π_{jt}), the interest rate of real bond holdings, and the lump-sum transfer from labor income tax $\omega_L W_t \tilde{L}_t$, where ω_L is the labor income tax rate or the labor wedge that affects the labor supply decision of the representative household. In equilibrium, $L_t = \tilde{L}_t$ but the representative household does not take into account the effect of its own labor supply decision on the lump-sum transfer. The ω_L is assumed to be zero in the baseline case but set positive in one of the counterfactual scenarios below. In equilibrium, $C_t = Y_t$.

The Euler equation of the lifetime utility maximization is as follows:

$$\frac{\dot{C}_t}{C_t} = r_t - \rho.$$

On the balanced growth path where $C_t = Y_t$ grows at g_Y, the interest rate is simply

$$r_t = r = \rho + g_Y.$$

Next, the first order condition with respect to labor supply gives a labor supply curve.

$$\phi \left(L_t^s\right)^{\frac{1}{\eta}} = \frac{W_t(1-\tau_L)}{C_t} = w\left(1-\tau_L\right).$$

Again, $w := W_t/Y_t$ is constant in the BGP equilibrium.

3.6 Distribution

The distribution of product lines across x is characterized by the following equation.

$$\begin{aligned} g_x x f(x) &= \delta F(x) + \int_{s\in(x-\lambda^i\bar{x},x]} \xi(s)dF(s) \\ &\quad + (1-p)(G(\infty)-G(x))F(x) \\ &\quad - pG(x) \\ G(x) &:= \int_{s\leq x} \zeta(s)dF(s) + \int_{s\leq x-\lambda^e\bar{x}} \chi dF(s). \end{aligned}$$

The total measure of product lines is normalized to one. For derivation, see Appendix B.3.

The probability of expanding and entering firms to meet a vacant line, p, is given by the condition that the mass of product lines left vacant because of exogenous exit is equal to the mass of expanding and entrant firms that are matched to vacant lines.

$$\delta = p\int \zeta(s)dF(s) + \chi p$$

The creative destruction rate $\tau(x)$ at the firm level must satisfy the following equation that implies the rate at which incumbent firms are taken out from their product lines by creative destruction is equal to the rate at which expanding firms poach new product lines.

$$\tau(x) = (1-p)\left(\chi\left(\int_{s>x-\lambda^e\bar{x}} dF(s)\right) + \int_{s>x} \zeta(s)dF(s)\right)$$

The depreciation rate for x is given by the following equation. The equation decomposes the aggregate growth rate into three margins related to vertical innovation, horizontal innovation, and entrant innovation. g_Y is simply $g_x/(\sigma-1)$.

$$\begin{aligned}
g_x\bar{x} = & \underbrace{\int\left[\int_{s\in(x-\lambda^i\bar{x},x]} M\xi(s)dF(s)\right]dx}_{\text{vertical innovation}} \\
& + p\underbrace{\int\left[\int_{s>x} M\zeta(s)dF(s)\right]dx - p\bar{\zeta}\bar{x}}_{\text{horizontal innovation (1)}} \\
& + p\underbrace{\int\left[\chi\int_{s>x-\lambda^e\bar{x}} dF(s)\right]dx - p\chi\bar{x}}_{\text{entrant innovation (1)}} \\
& + (1-p)\underbrace{\int\left(\int_{s>x} M\zeta(s)dF(s)\right)F(x)dx}_{\text{horizontal innovation (2)}} \\
& + (1-p)\underbrace{\int\left(\chi\int_{s>x-\lambda^e\bar{x}} dF(s)\right)F(x)dx}_{\text{entrant innovation (2)}}
\end{aligned}$$

3.7 Labor Market Clearing

The final good market is cleared if $C_t = Y_t = A_tL^p$, where L^p is the production labor inputs. Labor inputs are also used to implement vertical, horizontal, and entrant innovation.

The total labor demand is given by the following equation.

$$W_t L_t = \frac{\sigma - 1}{\sigma} Y_t + W_t \int_0^1 c_\xi(\xi_{jt}) dj + W_t \int_0^1 c_\zeta(\zeta_{jt}) dj + W_t c_\chi(\chi_t)$$

On the BGP, the wage and the final good grow at the same rate. Thus, the labor market clearing condition becomes

$$wL = \frac{\sigma - 1}{\sigma} + w \int_0^1 c_\xi(\xi_{jt}) dj + w \int_0^1 c_\zeta(\zeta_{jt}) dj + w c_\chi(\chi_t).$$

3.8 Equilibrium

The Balanced Growth Path (BGP) equilibrium is defined as value function $v(x)$; policy function $\xi(x)$, $\zeta(x)$; product line distribution $f(x)$; creative destruction rates $\tau(x)$; the probability of meeting a vacant product line p; depreciation and growth rates g_x, g_Y; the entry rate χ; and a constant wage rate relative to the output w; a constant interest rate r; and the constant labor supply L such that

1. The representative household optimizes[16].
2. Value function and policy function satisfy the HJB equations.
3. The distribution of product lines over x stays constant. The mass of product lines is also time-invariant[17].
4. The free entry condition is met to pin down the entry rate.
5. Growth and creative destruction rates are internally consistent.

[16] The representative household's optimization fixes the interest rate over the BGP and determines the labor supply curve.

[17] If $\zeta(x)$ and χ are too small, it is possible that the mass of available product lines may get lower over time because of net product line loss after exogenous firm exits. Here I am restricting the value of c_χ and c_ζ such that this does not happen and the mass of available product lines is constant over time.

6. The probability of meeting a vacant line is such that the mass of product line is constant over time.

7. Final goods, intermediate goods, and labor markets are cleared.

4 Calibration

For numerical illustration, the unit of the time is set to months. The wage of the baseline economy is normalized to one. The innovation and entry cost functions are parameterized as iso-elastic functions of innovation and entry rates, respectively.

$$c_\xi(\xi) = c_\xi \frac{\epsilon_\xi}{\epsilon_\xi + 1} \xi^{\frac{\epsilon_\xi + 1}{\epsilon_\xi}}$$
$$c_\zeta(\zeta) = c_\zeta \frac{\epsilon_\zeta}{\epsilon_\zeta + 1} \zeta^{\frac{\epsilon_\zeta + 1}{\epsilon_\zeta}}$$
$$c_\chi(\chi) = c_\chi \chi^{\frac{\epsilon_\chi + 1}{\epsilon_\chi}}$$

To match the small size growth after vertical and horizontal innovation, two additional parameters are added in the calibrated version of the model. The parameters, $q^v, q^h \in [0, 1]$, govern the probabilities that productivity increases and the expansion to a new product line are successful conditional on positive answers to the survey questions on vertical and horizontal innovation. Then, the returns to vertical and horizontal innovation become simply $q^v \xi \left(v\left(x + \lambda^i \bar{x}\right) - v\left(x\right)\right)$ and $q^h \zeta \left(p + (1-p)F(x)\right) v\left(x\right)$.

The parameters are calibrated through the following weighted minimization procedure:

$$\hat{\Omega} = \arg\min (\bar{m} - m(\Omega))' W (\bar{m} - m(\Omega)),$$

where $\Omega = (\lambda^i, \lambda^e, \sigma, c_\xi, \epsilon_\xi, c_\zeta, \epsilon_\zeta, \chi, q^v, q^h)$ is a vector of internally calibrated parameters, $\bar{m}$

is a vector of empirical moments in Table 2, $m(\Omega)$ is the counterpart moments from the simulated model given Ω, and W is a weighting matrix.

4.1 Identification

The moments in Table 1 are transferred directly into the numerical model. The discount rate of the representative household, ρ, is calibrated such that the interest rate $r = \rho + g_Y$ is equal to 8% a year. The exogenous exit rate, δ, comes from Fackler et al. (2013) to match the exit rate of establishment with an employment size of 100 or more. The quantity of labor supply in the steady-state is calibrated to normalize the wage level in the steady-state to one.

Table 1: Externally Calibrated Moments

Moment	Meaning	Value	Source
r	Discount rate	8%/12	Average Stock Market Rate of Return
δ	Exogenous exit rate	1%/12	Fackler et al. (2013)
$\bar{L}$	Labor supply in the steady state	0.38	Normalization ($w = 1$)

The moments in Table 2 are matched after solving the equilibrium and simulating the panel survey in a way consistent with the German survey[18]. The model is exactly identified with 10 moments to match with 10 parameters. Overall the model can match the moments closely, despite the uncertainty associated with Monte Carlo simulations. Table 3 shows the values of calibrated moments.

[18] I start with 50,000 establishments each with a single product line, burn in 100 years, and simulate the panel until it converges in terms of i) the fraction of vertically innovating establishments, and ii) the fraction of horizontally innovating establishment. The convergence criterion is 1e-4.

Table 2: Internally Calibrated Moments

Moment	Data	Model	Target
Annual Growth Rate	1.34%	1.30%	λ^i
Frac. of Vertical Innov.	29.4%	29.1%	c_ξ
Frac. of Horizontal Innov.	17.3%	17.3%	c_ζ
Verti. Innov. Frac. Diff. across Size 2T and 1T	3.6%p	1.8%p	ϵ_ξ
Horiz. Innov. Frac. Diff. across Size 2T and 1T	2.0%p	1.4%p	ϵ_ζ
2-year Size Gr. after Verti. Innov. Rel. Avg.	1.08%p	0.98%p	q^v
2-year Size Gr. after Horiz. Innov. Rel. Avg.	1.32%p	1.37%p	q^h
2-year Size Gr. w/o Innov. Rel. Avg.	-1.55%p	-1.53%p	σ
Employment Share of Establishment Age ≤ 1	1.08%	1.51%	λ^e
Establishment Share of Establishment Age ≤ 1	1.9%	1.9%	χ

Note: 1T, 2T, and 3T mean the first, the second, and the third tertile groups in the corresponding distribution at the sector level after trimming establishments at the 10th size decile, respectively. All size tertile groups then are pooled over industries. Surveyed rates in the model column mean that the rates are from the simulated panel, generated consistently with the data. All observations are weighted by the cross-sectional weight from the data provider.

Table 3: Values of Calibrated Parameters

	Parameter	Value
λ^i	Step Size of Vertical Innovation	2.72%
λ^e	Step Size of Entrant Innovation	3.09%
σ	Elasticity of Substitution across Prod. Lines	1.39
c_ξ	Vertical Innovation Cost Shifter	2039.84
ϵ_ξ	Vertical Innovation Cost Elasticity	0.53
c_ζ	Horizontal Innovation Cost Shifter	2.62e+06
ϵ_ζ	Horizontal Innovation Cost Elasticity	0.31
$12 \times \chi$	Annual Share of Entrant Draws	0.92%
q^h	Probability of Successful Expansion	3.12%
q^v	Probability of Successful Improvement	55.00%

The step sizes of vertical and entrant innovation λ^i and λ^e jointly target the output growth rate on the BGP. λ^e further matches the employment share of entrants given the

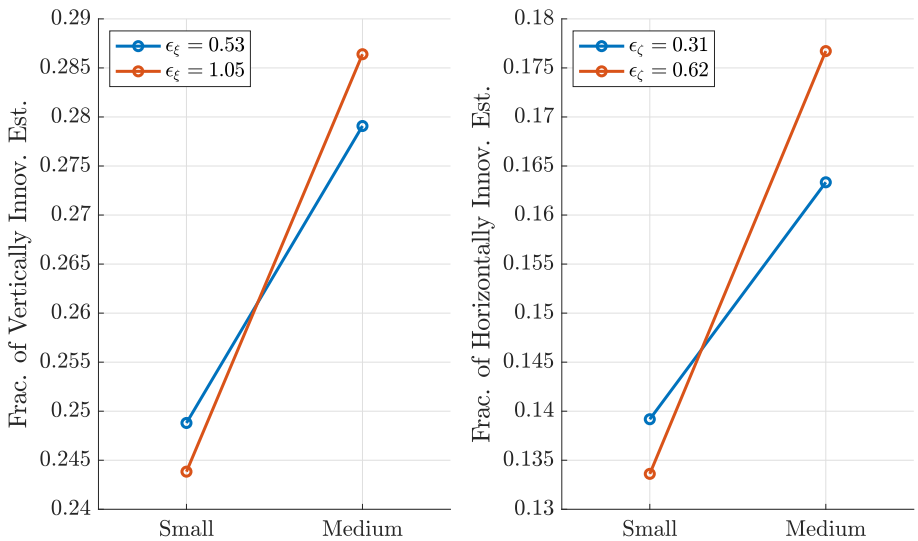
count share of entrant establishments. The idea is, as the step size of entrant innovation gets higher, entrants become more productive on average, thus their share in total employment is large at the given establishment share. The count share of establishment is met by the flow rate of entrant draws, χ. On the BGP, the elasticity of entry is not identified with the single flow rate. As a result, I first calibrate χ, back out c_χ from assumed values of ϵ_χ, and implement counterfactual analyses below. The elasticity of substitutions across product lines σ is calibrated to match the employment growth of non-innovating establishments relative to an average establishment. If σ is higher, non-innovating establishments shrink at a higher rate because of continuous substitution towards better-quality intermediate goods. The probability of successful quality improvement, q^v, is aimed to match the 2-year size growth rate of establishments after the vertical innovation relative to the average 2-year size growth rate of all continuing establishments. Likewise, the probability of successful expansion after horizontal innovation, q^h, is to match the 2-year size growth rate after horizontal innovation relative to vertical innovation.

The moments already predict a low value for q^h. Assume no exit and no entry for simplicity. Then, on average, continuing establishments' growth rate is close to zero. If an establishment with one product line experiences successful horizontal innovation, the establishment growth rate must be about 100%. If an establishment with two product lines experiences successful horizontal innovation on one of its product lines, the size growth rate must be 50%. The growth rate after horizontal innovation, relative to the average establishment, is only about 1.5%. This low number implies that most horizontal innovation in the survey fails to yield an additional product line.

The parameters of particular interest for the counterfactual analysis below are the elasticities of vertical and horizontal innovation, ϵ_ξ and ϵ_ζ. If the values of these elasticities are high, the general equilibrium effects of some policy changes are more amplified by endogenous responses in incumbent innovation. On the other hand, with lower values of elasticities,

the margin of endogenous incumbent innovation is quantitatively unimportant. Then, the cost-shifters of vertical and horizontal innovation, c_ξ and c_ζ match the average fraction of establishments experiencing innovation.

Figure 10: Identification of Innovation Elasticity



I indirectly infer the values of the innovation elasticity through the size profile of innovation frequencies. The two panels of Figure 10 show the frequencies of vertical and horizontal innovation across equally sized establishment bins. The 'small' bin corresponds to a group of establishments below the third decile of the size distribution, and the 'medium' bin corresponds to a group of establishments in the next three deciles of the size distribution. The largest establishments in the last four deciles are excluded from calculating moments to match because the model over-predicts the largest establishments' innovation frequencies after assuming independent innovation events across product lines. Larger establishments are more likely to innovate for two reasons. First, for establishments with the same number of product lines, establishment size is a predictor for the underlying productivity, and better quality establishments are more likely to innovate. Moreover, larger establishments tend to own multiple product lines, and multi-product establishments are more likely to innovate

on at least one of their product lines with mutual independence of innovation events across product lines. Ideally, small establishments are more likely to have a single product line, and the difference among small-sized establishments is more likely to capture the dependency on the underlying productivity and inform the model about how elastically those innovations respond to the underlying productivity differences. In Figure 10, a higher value of innovation elasticity is associated with a steeper profile of innovation frequencies over employment size among small establishments between the first three deciles and the second deciles.

For the same values of vertical and horizontal elasticity, horizontal innovation has a steeper profile across employment bins because the return to horizontal innovation is increasing more sharply in current productivity by assuming that the productivity on the new product line is the same as the old product line that the horizontal innovation is based on. Notice that I further adjust the values of c_ξ and c_ζ to match the fraction of innovating establishments for the medium size bin across different elasticity values. Since the model assumes the same step size of vertical innovation for all product lines[19], vertical innovation does not have a steep size profile. Empirically, however, size dependency is similar in proportion between vertical and horizontal innovation, implying that vertical innovation reacts more elastically to underlying productivity differences.

4.2 Model Fit

Figure 10 yields moments untargeted in the calibration stage. Figure 11 compares the fractions of vertically (upper) and horizontally (lower) innovating establishments in each lagged employment decile group from the data and model. While the calibration targets the differences in the fractions of innovating establishments between the first and the second three decile groups, the model predicts far larger differences between the largest establishments with multiple product lines in the 9th and the 10th decile and the rest of the establishments.

[19]The validity of these assumptions is covered in Appendix A.3.

This is because vertical and horizontal innovation events are independent across product lines. If a product line has a 1% probability of horizontal innovation per month, an establishment with one product line has a 1% probability of expanding to a new product line. On the other hand, an establishment with two product lines has approximately two percentage points of expanding to at least one product line. The size dependency is not as strong as what is suggested by this model with product-line independence of innovation events.

Figure 11: Model Fit - Size dependency of Innovation Frequencies

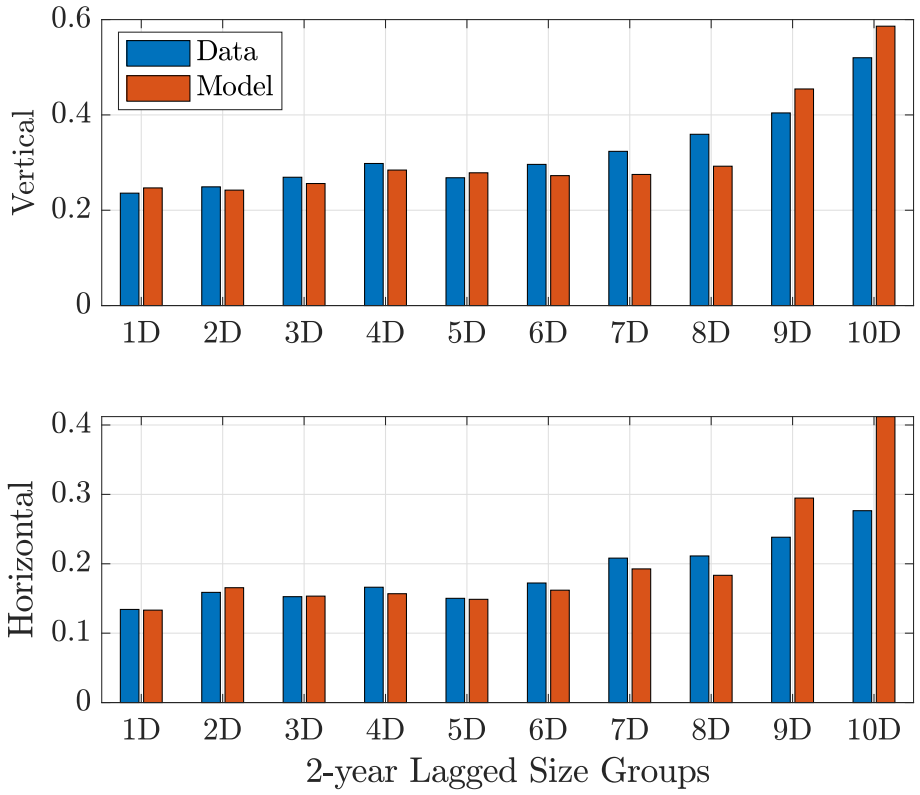


Figure 12 shows model-generated average growth rates after vertical and horizontal innovation relative to average growth rates conditional on establishment survival. The model, as in the data, generates pre-trend among innovating establishments relative to the average establishment before innovation events because establishments that choose to innovate are

the ones with better qualities. This pre-trend, however, is stronger in the data. The calibration aims to match size growth between one year after the innovation and the previous year of the innovation, but the calibrated model closely matches the size growth in the data even afterward. The model predicts size starts to grow in the innovation year, while data suggests the size grows one year after the innovation year. One potential reason is that most establishments implement innovation in the second half of the year and the size growth after innovation is measured by the growth rate between employments as of June 30 in the innovation year and the following year.

Figure 12: Model Fit - Relative Size Growth After Innovation Fitted Model vs. Data

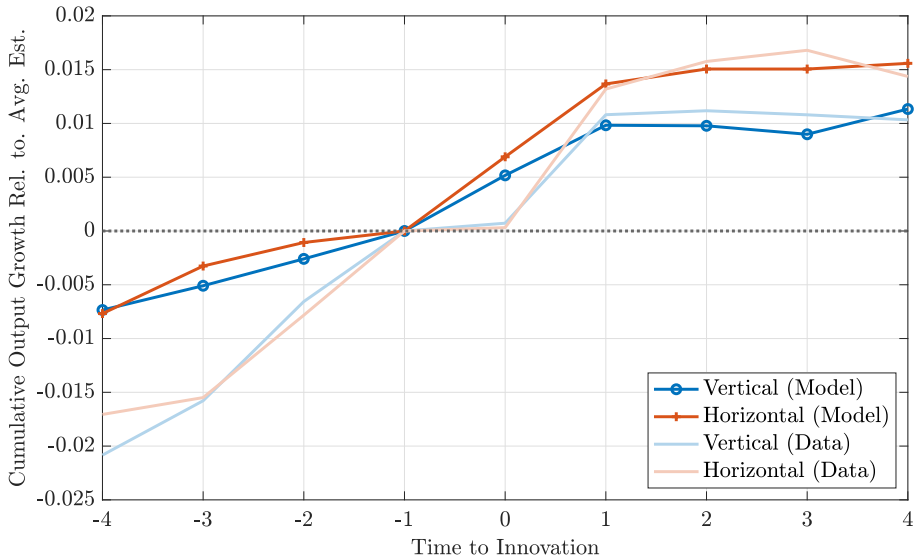


Table 4 compares other untargeted moments generated by the model to the data counterpart. The correlation coefficient between vertical and horizontal innovation dummies is positive for both the data and the model; the model with independent innovation events predicts a modestly lower correlation. In the model, the correlation is positive because an establishment with more product lines of higher profitability tends to innovate more frequently both vertically and horizontally. But controlling for the profitability level of a product line,

vertical and horizontal innovation events are mutually independent. In the data, these two innovation types are more synchronized. Two-year employment growth rates are overall flat across size groups in the model as well as in the data. The model also matches the tendency that larger establishments have lower job destruction rates; however, the size dependency is smaller because the model generates lower job creation and destruction rates than the data. The model with innovation shocks as a single source of establishment-level shocks generates only 8% and 9% of the actual establishment-level job creation and destruction behavior. This implies that most establishment-level labor adjustments happen from demand shocks as opposed to innovation-related supply shocks as emphasized in Foster et al. (2008).

Table 4: Other Untargeted Moments

Moment	Data	Model
Corr. Coeff. between Vertical and Horizontal Innov.	0.38	0.23
2-Year Growth Rate Diff. across Size 3T and 1T	-0.15ppt	0.71ppt
2-Year Growth Rate Diff. across Size 2T and 1T	-0.18ppt	0.36ppt
Job Destruction Rate Diff. across Size 3T and 1T (Surveyed)	-2.72ppt	-0.09ppt
Job Destruction Rate Diff. across Size 2T and 1T (Surveyed)	-1.38ppt	0.02ppt
Job Creation Rate (Surveyed)	8.22%	0.68%
Job Destruction Rate (Surveyed)	7.51%	0.60%

Note: 1T, 2T, and 3T mean the first, the second, and the third tertile groups in the corresponding distribution at the sector level after trimming establishments at the 10th size decile, respectively. All size tertile groups then are pooled over industries. Surveyed rates in the model column mean that the rates are from the simulated panel, generated consistently with the data. All observations are weighted by the cross-sectional weight from the data provider.

5 Counterfactual Analysis

I consider two counterfactual scenarios. The first scenario deals with the 'Hartz Reform', a major labor market reform that happened in Germany in the mid-2000s. I interpret the reform as a shift of the labor supply curve to the right and a decrease in the cost of

unexpected product line closure and labor adjustment. The second scenario addresses the new R&D tax credit policy that was introduced in Germany in 2020. I focus on the first scenario of Hartz reform and set the second scenario aside in Appendix C.3.

For each scenario, I first compare the new BGP under the environmental change to the baseline BGP. Aggregate productivity growth rates are decomposed into the three margins on vertical, horizontal, and entrant innovation under the two different BGP equilibria. Then, I evaluate the change in the welfare of the representative household after the change, using the notion of consumption equivalent variation for representative households. I start from the baseline BGP, introduce an unexpected policy or environment change at $t = 0$, and compute the deterministic transition path to the new BGP with the change. By comparing the transition path to the baseline balanced growth path, I can conclude how much the representative consumer loses or gains by the change in the environment. The equations used to calculate the transition path equilibrium are expressed in Appendix C.1.

5.1 Interpretation of the Hartz Reform

I study the effect of the Hartz reform in Germany on the aggregate economy through the incumbent innovation margin. The Hartz reform is a large-scale labor market reform and started in the early 2000s. For institutional components, see Section 2.3. In this section, I explain how the measures in the reform are translated into the context of the model.

To start with, I interpret the measures to modernize employment agencies and incentivize more unemployed workers to find a job as an exogenous increase in labor supply, through a decrease in labor wedge in the representative household's problem. The values for labor wedge before and after the Hartz reform are assumed to be strictly positive and zero, respectively. The value of the labor wedge in the pre-reform period is set to match the increase in labor supply between the early 2000s and late 2010s. According to the Annual Labour Statistics by the OECD, the average national employment of the population age

20-64 between 2000-2004 was 34 million in Germany, and it grew to 37 million (7.6%) in the late 2010s. Meanwhile, that same German population (age 20-64) decreased by 2.5%, from 51 million to 50 million. I interpret the 10 percentage points additional increase in employment as the effect of Hartz reform and set the labor wedge before the Hartz reform to match this increment. The baseline Frisch elasticity of labor supply is assumed to be one, but I test other values for robustness in Appendix C.2. Under this parameter value, the implied labor wedge before the reform is 17%.

I interpret the measures to reduce labor market rigidity as lowering the cost of unexpected product line closures, which is associated with severance pays and administrative firing costs to the workers. For simplicity, I assume that the closure cost increases linearly in x and does not depend on the actual employment[20]. This cost is modeled as κ in the model. The severance pay is around 50% of the monthly wage per tenure year, and the mean tenure of a German worker is 10 years. There are not many studies about estimating firing costs in Germany, but a paper by Bentolila and Bertola (1990) estimated that the firing cost corresponds to 75% of annual wages in Germany. A product line with x hires $\frac{\sigma-1}{\sigma}x/w$ units of production labor and $c_\zeta(\zeta(x)) + c_\xi(\xi(x))$ amount of R&D labor. Assuming R&D labor demand is proportional to x as well, $\kappa = (10 \times 0.5 + 0.75 * 12) \times L \approx 4.99$ before the reform $\kappa = 0$ after the reform.

Like the Frisch labor supply elasticity, entry elasticity c_χ is not identified in the BGP with the single free entry condition. However, the employment share of entrants stagnated at around 1-1.5% in a given year both in the early 2000s and the late 2010s. Thus, I set the baseline c_χ as a very low value, 0.1. In Appendix C.2, I also test various values for c_χ, but

[20] If the cost of unexpected product line closure depended on the actual employment, the establishment's dynamic problem would need an additional state variable on employment size, which complicates the analysis. By introducing this assumption, I ignore an additional employment gain of the Hartz reform in hiring more production labor at the same quality level and in hiring more R&D labor with returns to vertical and horizontal innovation increased due to that production margin. Thus, this model is likely to underestimate gains from the Hartz Reform.

the results are similar regardless of the entry elasticity because the entrant innovation does not contribute much to the aggregate growth.

5.2 Counterfactual Results

Table 5 compares the steady-state moments before and after the Hartz reform. The first column summarizes the BGP before the Hartz reform and, the fourth column summarizes the BGP after the Hartz reform. To distinguish the effect of an exogenous increase in labor supply with the effect of removing firing costs, the second and the third columns summarize the steady-state after removing the labor wedge without reducing κ and after reducing κ without changing ω_L, respectively.

The labor wedge margin is more important in increasing the productivity growth in the steady-state than the firing cost margin. This is because, while the increase in labor supply decreases the wage paid by establishments, the reduction of firing cost increases the wage level. The wage increase after removing firing costs comes from more R&D labor demand because of increases in return to horizontal and vertical innovation. However, without a further increase in labor supply, innovation rates cannot increase significantly. The decrease in wage after removing the labor wedge is important in reducing innovation costs and boosting incumbents' innovation behavior.

Reducing firing costs contributes to a higher frequency of vertical, horizontal, and entrant innovation, but the impact on growth is slightly negative because the average step size of horizontal and entrant innovation decreases. Successful creative destruction by horizontally expanding incumbents improves the relative quality of a product line on average by 7.47% before the reform. But this average step-size becomes 7.23% after the reform. This is because the cross-sectional standard deviation of relative quality over x decreases from 12.43% to 12.05% with relatively more horizontal innovation after removing κ. Removing κ increases horizontal innovation relative to vertical innovation. Since successful horizontal

innovation makes the quality of a product line catch up with the better one of the expanding establishment, the dispersion of x tends to decrease with more horizontal innovation. The average gain from successful horizontal innovation and switching to a better quality becomes smaller with lower cross-sectional dispersion.

Despite the negative effects of removing firing costs, the reform overall increases vertical and horizontal innovation rates per product line, though the increase is more pronounced for vertical innovation. The average vertical innovation rate increases 0.86 percentage points per year, while average horizontal innovation rates increase only by 0.01 percentage points.

Table 5: Effect of Hartz Reform in the Steady-State

Moment	Pre	$\omega_L = 0$	$\kappa = 0$	Post
Annual Output Growth Rate	1.23%	1.30%	1.23%	1.30%
Wage	1.0967	0.9993	1.0976	1.0000
R&D Labor Share	28.99%	27.23%	28.98%	27.22%
Avg. Annual Vertical Innov. Freq.	15.99%	16.85%	16.01%	16.86%
Avg. Annual Horizontal Innov. Freq.	0.52%	0.53%	0.52%	0.53%

Note: Average innovation rates are calculated conditional on successful innovation. Thus, q^v and q^h are multiplied with $\xi(x)$ and $\zeta(x)$, respectively, before taking average over the distribution of x.

Table 6: Growth and Reallocation Decomposition under the Hartz Reform

Moment	Pre	$\omega_L = 0$	$\kappa = 0$	Post
Verti. Innov. Contri. to Growth	91.04%	90.64%	91.28%	90.81%
Horiz. Innov. Contri. to Growth	2.68%	2.85%	2.61%	2.81%
Entr. Innov. Contri. to Growth	6.28%	6.52%	6.11%	6.39%
Job Creation Due to Verti. Innov.	22.76%	24.01%	23.12%	23.75%
Job Creation Due to Horiz. Innov.	27.45%	23.51%	26.30%	26.22%
Job Creation Due to Entr. Innov.	49.79%	52.48%	50.57%	50.03%
Job Dest. Due to Creative Dest.	32.71%	32.28%	28.20%	30.22%
Job Dest. Due to Obsolescence	62.89%	63.31%	67.22%	65.23%
Job Dest. Due to Exog. Exit	4.41%	4.41%	4.57%	4.55%

Note: The growth rate decomposition formula is described in Section 3.6. The job creation and destruction results are defined by product line shocks, which are not observable in the data. Specifically, the job creation happens after vertical, horizontal, and entrant innovation. Job creation by each innovation is the frequencies of innovation multiplied by the increment in production and R&D labor hired by the innovated product line after each innovation. Job destruction happens with quality depreciation, creative destruction, and exogenous exits. Job destruction is calculated similarly by multiplying the rate by the job loss conditional on the event.

Table 6 shows the contribution of different types of innovation to aggregate growth and labor reallocation. Vertical innovation accounts for most productivity growth, more than 90%. However, vertical innovation accounts for only 23-25% of job creation. This is because vertical innovation does not replace workers within establishments but only adds more workers on the top of existing product lines. On the other hand, relative to its contribution, horizontal innovation generates more job creation in the economy with worker replacements across establishments. Entrant innovation also creates more jobs relative to its contribution to growth. However, still, most job destruction happens because of quality depreciation rather than creative destruction or establishment exits.

After the full Hartz reform, the contribution of vertical innovation to growth decreases because, in relative terms, horizontal innovation increases more than vertical innovation.

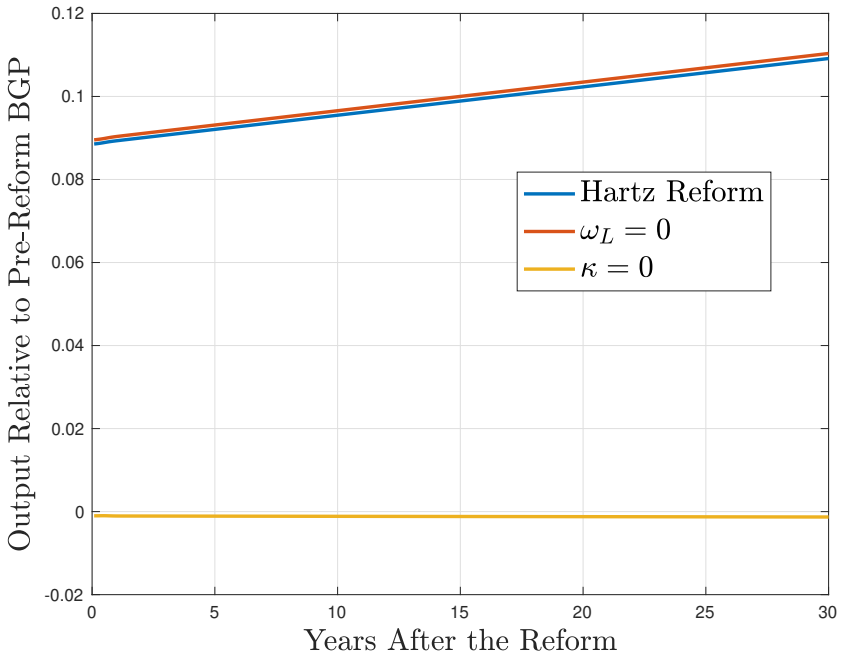
However, because horizontal innovation has such a small share in the growth process from the beginning, the increase in horizontal innovation does not amount to a notable difference after the reform. Entrant innovation also increases its contribution to growth in relative terms, but its absolute impact is minimal. Unlike productivity growth, the contribution of vertical innovation job creation increases after the reform, due largely because demand for R&D labor increases more after vertical innovation. The decrease in wage after removing the labor wedge further contributes to more increases in production labor demand after vertical innovation.

Figure 13 shows the increase in output relative to the pre-reform BGP, and Figure 14 breaks down the contribution of three types of innovation relative to the pre-reform BGP equivalent over the transition path. The decrease in labor wedge is quantitatively more important than the decrease in firing costs in both initial output jump and future output growth. Without an exogenous increase in labor supply, the economy experiences an initial drop in output production as shown by the yellow line in Figure 13, because more labor inputs are used for R&D. Moreover, the economy experiences a permanent output drop relative to the baseline BGP after removing only the firing costs without changing the labor wedge. This permanent reduction in output results from more innovations that consume labor for R&D but fail to improve productivity growth. As mentioned in the steady-state comparison, horizontal and entrant innovations become less impactful with smaller cross-sectional quality dispersion. Therefore, the economy is worse off only by removing firing costs.

With an increase in labor supply, the output jumps up initially after the reform in time 0. Moreover, it also grows faster than the pre-reform BGP because of more innovation (see Figure 14). On the transition path, it is also the vertical innovation that contributes the most to output growth. Horizontal innovation and entrant innovation have a positive but limited role in promoting output growth. After removing the labor supply, the economy

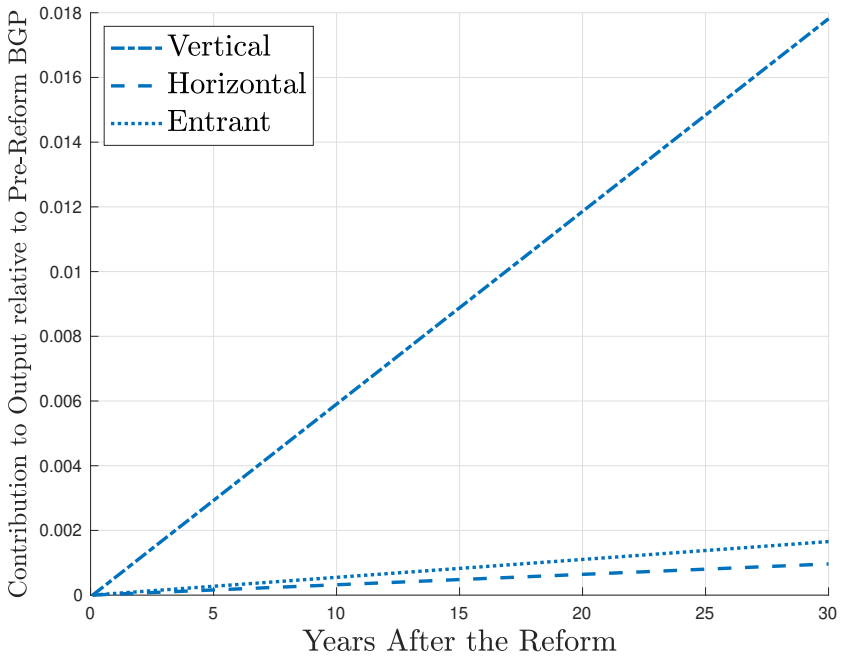
experiences further increases in output growth by removing the firing costs over the transition path[21].

Figure 13: Relative Log Output under the Hartz Reform Scenario



[21]But eventually, the economy with positive κ and zero ω_L will catch up the full reform economy because the full economy has lower BGP growth rates than the high firing costs economy.

Figure 14: Relative Contribution to Output under the Hartz Reform Scenario



The third column of Table 7 shows that the welfare effect of Hartz reform is equivalent to a permanent 6.1% increase in the consumption schedule of the representative household in the pre-reform BGP. Output growth from more vertical innovation is the most important factor of the welfare increase in this case. The dynamic gains from faster output growth after the Hartz reform accounts for 17% (1.01/6.08) of the entire increase in welfare, while the rest originates from the static increase in production labor right after the reform. Vertical innovation accounts for 87% (0.88/1.01) of dynamic gains from the reform. Consistent with the output results over the transition path, reducing labor wedge plays a dominant role in improving welfare. Without increases in labor supply, the reform that removes firing costs reduces the welfare, because additional R&D activities soak up production labor and even slow down productivity growth in the future. Again, this is because the average step sizes of horizontal and entrant innovation decrease with smaller cross-sectional dispersion with more horizontal innovation.

Table 7: Effect of the Hartz Reform in the Transition Path

	$\omega_L = 0$	$\kappa = 0$	Post
CEV	6.23%	-0.14%	6.08%
$\Delta Y_0/Y_0^{BS}$	9.37%	-0.10%	9.26%
Δg_0^{verti}	0.86%	0.03%	0.88%
Δg_0^{horiz}	0.05%	-0.01%	0.05%
Δg_0^{entr}	0.11%	-0.03%	0.08%
ΔL	-3.37%	-0.04%	-3.41%

Note: $\Delta Y_0/Y_0^{BS}$ means the initial change in output due to the policy introduction. CEV is the consumption equivalent variation for the representative household in the baseline economy to have the same lifetime utility as in the transition economy. Δg_0^j is the contribution of innovation type j on welfare change over the transition path.The difference between the sum of the three margins and the CEV reflects the impact of production labor input changes over the transition path. For the formal definitions, see Appendix C.1.

6 The Role of Vertical Innovation

To quantify the role of vertical innovation in the performance of the model, I remove the endogenous vertical innovation margin in the model. Specifically, I fix the vertical innovation rate function over x, $\xi(x)$, and let only horizontal innovation choices, $\zeta(x)$, and entrant innovation rates, χ, adjust freely after the reform. I re-evaluate the steady-state and transitional impacts of the reform with the fixed vertical innovation margin. Since the model is calibrated to match the post-reform moments, I fix the vertical innovation rates at the post-reform function. In this case, the pre-reform BGP changes while the post-reform BGP stays the same. The value of the labor wedge, ω_L, is further adjusted to match the actual increase in labor supply, while the value for the closure cost parameter, κ, stays the same. The labor wedge before the reform is calibrated to be 18% to match the 10% increase in employment after the reform.

Table 8 describes the changes after the Hartz reform with and without endogenous

responses in vertical innovation rates. The increase in output growth rates is smaller without vertical innovations. Since the labor demand for vertical innovation does not increase, the wage decrease is lower than the case where vertical innovation adjusts freely. As a result, the R&D labor share decreases by more without vertical innovation responses. Rather, the average vertical innovation rate declines slightly because of changes in the composition of product lines over x. On the other hand, horizontal innovation increases even more than the baseline case because of the larger decrease in wages, but its impact on the productivity growth rate is negligible. Despite the slight increase in steady-state growth rate, changes in job turnover rates stay almost the same as the steady-state because job turnover rates depend more on the horizontal expansion of incumbents and entrants.

Table 8: BGP Comparison without Vertical Innovation

Moment	Baseline	Without V.I.
Δ Output Growth Rate	0.07ppt	0.01ppt
Δ Wage	-0.0973	-0.1059
Δ R&D Labor Share	-1.76ppt	-2.45ppt
Δ% Avg. Job Creation Rate	14.81%	12.26%
Δ% Avg. Job Destruction Rate	9.61%	8.13%
Δ% Avg. Vertical Innov. Freq.	65.42%	-0.43%
Δ% Avg. Horizontal Innov. Freq.	36.87%	39.15%

Note: The job creation and destruction results are defined per product line, which is not observable in the data. Specifically, the job creation rate per product line is defined as the sum of job creation from vertical and horizontal innovation divided by the mass of product lines, which is normalized to one. Job creation by vertical innovation and horizontal innovation are the frequencies of vertical and horizontal innovation multiplied by the increment in production and R&D labor hired by the product line after each innovation, respectively. Job destruction rate is defined as the sum of job destruction from quality depreciation and creative destruction divided by the mass of product lines, which is normalized to one.

Table 9 describes the decomposition result without endogenous responses in vertical innovation. Consistent with the changes in growth rates, horizontal and entrant innovations contribute to faster growth. As a result, their contribution to aggregate growth increases.

Horizontal innovation contributes relative more to the increase in job creation rates than entrant innovation, and job destruction rates increase disproportionately by more from creative destruction than the depreciation of relative quality.

Table 9: The Growth and Labor Reallocation Decomposition without Vertical Innovation

Moment	Baseline	Without V.I.
Δ Verti. Innov. Contri. to Growth	-0.21ppt	-0.81ppt
Δ Horiz. Innov. Contri. to Growth	0.12ppt	0.30ppt
Δ Entrant. Innov. Contri. to Growth	0.09ppt	0.52ppt
Δ Job Creation Due to Verti. Innov.	0.99ppt	-0.60ppt
Δ Job Creation Due to Horiz. Innov.	-1.23ppt	3.62ppt
Δ Job Creation Due to Entr. Innov.	0.24ppt	-3.02ppt
Δ Job Dest. Due to Creative Dest.	-2.49ppt	1.13ppt
Δ Job Dest. Due to Obsolescence	2.34ppt	-0.66ppt
Δ Job Dest. Due to Exog. Exit	0.14ppt	-0.47ppt

Note: The growth rate decomposition formula is described in Section 3.6.

Figure 15 shows output changes relative to the baseline BGP without endogenous responses in vertical innovation. Compared to the baseline results, the transition path without vertical innovation responses shows a larger initial jump of output and smaller output growth later. This results from larger production labor increases without R&D labor demand increases for vertical innovation. The productivity grows at a slower rate after the reform. This is because the endogenous responses in horizontal and entrant innovations do not generate enough productivity growth (See Figure 16.).

Figure 15: Relative Output after the Hartz Reform Without Vertical Innovation

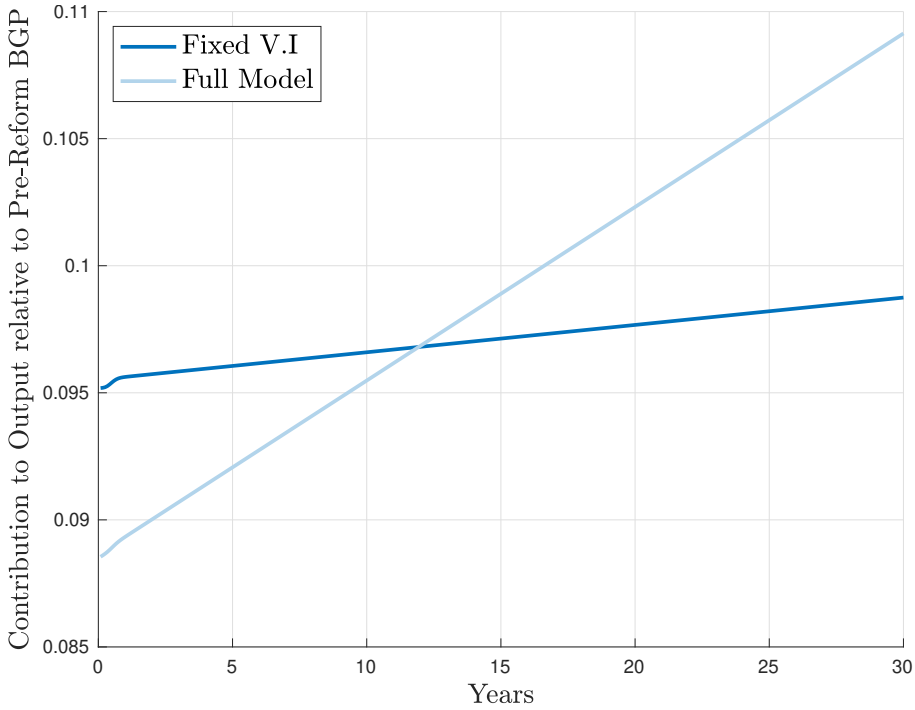
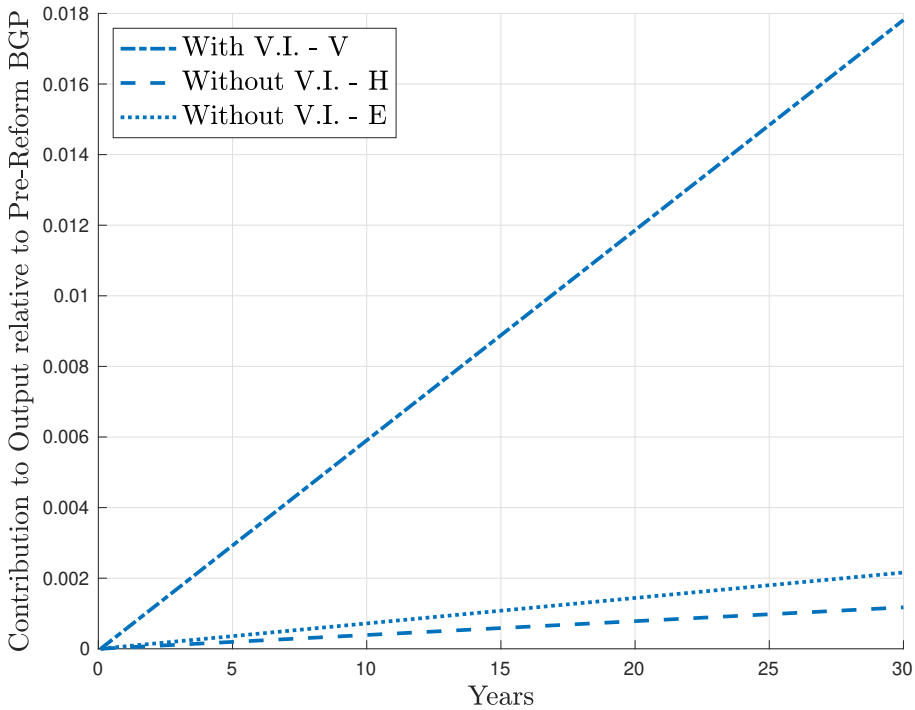


Figure 16: Decomposition of Relative Contribution to Output after the Hartz Reform



In Table **??**, gains from the Hartz reform are underestimated by 0.2 percentage points without vertical innovation adjustments. The gains from faster productivity growth are equivalent to less than 0.2% permanent increases in consumption, compared to 1% with endogenous responses in vertical innovation. More welfare increases are attributed to the static increase in output from more production labor.

Table 10: The Welfare Effect of Hartz reform without Vertical Innovation

	Baseline	Without V.I.
CEV	6.08%	5.84%
$\Delta Y_0/Y_0^{BS}$	9.26%	9.99%
Δg_0^{verti}	0.88%	-0.01%
Δg_0^{horiz}	0.05%	0.06%
Δg_0^{entr}	0.08%	0.11%
ΔL	-3.41%	-3.43%

Note: $\Delta Y_0/Y_0^{BS}$ means the initial change in output due to the policy introduction. CEV is the consumption equivalent variation for the representative household in the baseline economy to have the same lifetime utility as in the transition economy. Δg_0^j is the contribution of innovation type j on welfare change over the transition path. For the formal definitions, see Appendix C.1.

7 Concluding Remarks

This paper is one of the first papers that use the surveyed measure of establishment-level innovation activities and relate the measure to establishment performance after the innovation events and output growth in the general equilibrium. This measure covers knowledge creation and adoption activities in broader sectors including service industries than the patent-based measures. Moreover, the survey-based measures in the German panel make it easier to distinguish vertical and horizontal innovation. Using this new measure, this paper establishes new empirical facts on the characteristics and performances of innovating establishments before and after innovation events and equilibrium responses of non-innovating establishments to more innovation activities.

This paper constructs a model where two innovation choices by incumbent establishments can affect productivity growth on a balanced growth path. The model is simple, but it is able to accommodate the new facts from the survey-based measure of innovation. The calibrated model is then used to quantify the macroeconomic effect of a major labor market

reform in Germany through endogenous innovation choices. The model predicts that the welfare of the overall German economy improves with more production labor right after the Hartz reform, and is further amplified through faster productivity growth. Productivity growth accounts for 17% of the entire welfare gains from the reform, where vertical innovation explains 87% of the gains from productivity growth.

This paper further emphasizes the importance of vertical innovation in decoupling the co-movement between productivity growth and job turnover. Unlike horizontal innovation, vertical innovation raises productivity even without large labor adjustments. The main idea in this paper implies that increases in vertical innovation may explain why developed countries with slower business dynamism could maintain stable output growth.

References

Acemoglu, D., Akcigit, U., Alp, H., Bloom, N., and Kerr, W. (2018). Innovation, reallocation, and growth. *American Economic Review*, 108(11):3450–91.

Acemoglu, D. and Cao, D. (2015). Innovation by entrants and incumbents. *Journal of Economic Theory*, 157:255–294.

Aghion, P., Bloom, N., Blundell, R., Griffith, R., and Howitt, P. (2005). Competition and innovation: An inverted-u relationship. *The quarterly journal of economics*, 120(2):701–728.

Aghion, P., Blundell, R., Griffith, R., Howitt, P., and Prantl, S. (2009). The effects of entry on incumbent innovation and productivity. *The Review of Economics and Statistics*, 91(1):20–32.

Aghion, P. and Howitt, P. (1992). A model of growth through creative destruction. *Econometrica*, 60(2):323–351.

Akcigit, U., Alp, H., and Peters, M. (2021). Lack of selection and limits to delegation: firm dynamics in developing countries. *American Economic Review*, 111(1):231–75.

Akcigit, U. and Kerr, W. R. (2018). Growth through heterogeneous innovations. *Journal of Political Economy*, 126(4):1374–1443.

Argente, D., Baslandze, S., Hanley, D., and Moreira, S. (2020). Patents to products: Product innovation and firm dynamics.

Atkeson, A. and Burstein, A. (2019). Aggregate implications of innovation policy. *Journal of Political Economy*, 127(6):2625–2683.

Bentolila, S. and Bertola, G. (1990). Firing costs and labour demand: how bad is eurosclerosis? *The Review of Economic Studies*, 57(3):381–402.

Bradley, J. and Kügler, A. (2019). Labor market reforms: An evaluation of the hartz policies in germany. *European Economic Review*, 113:108–135.

Caballero, R. J. (2010). Creative destruction. In *Economic Growth*, pages 24–29. Springer.

Coles, M. G. and Mortensen, D. T. (2016). Equilibrium labor turnover, firm growth, and unemployment. *Econometrica*, 84(1):347–363.

Davis, S. J. and Haltiwanger, J. (1999). On the driving forces behind cyclical movements in employment and job reallocation. *American Economic Review*, 89(5):1234–1258.

Davis, S. J., Haltiwanger, J. C., Schuh, S., et al. (1998). Job creation and destruction. *MIT Press Books*, 1.

Decker, R., Haltiwanger, J., Jarmin, R., and Miranda, J. (2014). The role of entrepreneurship in us job creation and economic dynamism. *Journal of Economic Perspectives*, 28(3):3–24.

Decker, R. A., Haltiwanger, J., Jarmin, R. S., and Miranda, J. (2016). Declining business dynamism: What we know and the way forward. *American Economic Review*, 106(5):203–07.

Dorn, D., Hanson, G. H., Pisano, G., Shu, P., et al. (2020). Foreign competition and domestic innovation: Evidence from us patents. *American Economic Review: Insights*, 2(3):357–74.

Engbom, N. (2019). Firm and worker dynamics in an aging labor market. Technical report.

Faberman, R. J. (2017). Job flows, jobless recoveries, and the great moderation. *Journal of Economic Dynamics and Control*, 76:152–170.

Fackler, D., Schnabel, C., and Wagner, J. (2013). Establishment exits in germany: the role of size and age. *Small Business Economics*, 41(3):683–700.

Foster, L., Haltiwanger, J., and Syverson, C. (2008). Reallocation, firm turnover, and efficiency: Selection on productivity or profitability? *American Economic Review*, 98(1):394–425.

Garcia-Macia, D., Hsieh, C.-T., and Klenow, P. J. (2019). How destructive is innovation? *Econometrica*, 87(5):1507–1541.

Goldschlag, N., Lybbert, T. J., and Zolas, N. J. (2019). An 'algorithmic links with probabilities' crosswalk for uspc and cpc patent classifications with an application towards industrial technology composition. *Economics of Innovation and New Technology*, 1-21(dd212121).

Hashmi, A. R. (2013). Competition and innovation: The inverted-u relationship revisited. *Review of Economics and Statistics*, 95(5):1653–1668.

Hochmuth, B., Kohlbrecher, B., Merkl, C., and Gartner, H. (2021). Hartz iv and the decline of german unemployment: A macroeconomic evaluation. *Journal of Economic Dynamics and Control*, 127:104114.

Hornstein, A., Krusell, P., and Violante, G. l. (2007). technology-policy interaction in frictional labour-markets. *The Review of Economic Studies*, 74(4):1089–1124.

Jacobi, L. and Kluve, J. (2006). Before and after the hartz reforms: The performance of active labour market policy in germany.

Klette, T. J. and Kortum, S. (2004). Innovating firms and aggregate innovation. *Journal of political economy*, 112(5):986–1018.

Kogan, L., Papanikolaou, D., Seru, A., and Stoffman, N. (2017). Technological innovation, resource allocation, and growth. *The Quarterly Journal of Economics*, 132(2):665–712.

Krause, M. U. and Uhlig, H. (2012). Transitions in the german labor market: Structure and crisis. *Journal of Monetary Economics*, 59(1):64–79.

Launov, A. and Wälde, K. (2013). Estimating incentive and welfare effects of nonstationary unemployment benefits. *International Economic Review*, 54(4):1159–1198.

Launov, A. and Wälde, K. (2016). The employment effect of reforming a public employment agency. *European Economic Review*, 84:140–164.

Lentz, R. and Mortensen, D. T. (2008). An empirical model of growth through product innovation. *Econometrica*, 76(6):1317–1373.

Michau, J.-B. (2013). Creative destruction with on-the-job search. *Review of Economic Dynamics*, 16(4):691–707.

Peters, M. (2020). Heterogeneous markups, growth, and endogenous misallocation. *Econometrica*, 88(5):2037–2073.

Pissarides, C. A. and Vallanti, G. (2007). The impact of tfp growth on steady-state unemployment. *International Economic Review*, 48(2):607–640.

Postel-Vinay, F. (2002). The dynamics of technological unemployment. *International Economic Review*, 43(3):737–760.

Schmidtlein, Lisa; Seth, S. M. U. (2019). Linked employer-employee data from the iab: Liab longitudinal model (liab lm) 1975 – 2017. fdz-datenreport, 05/2019 (en), nuremberg. doi: 10.5164/iab.fdzd.1905.en.v1.

Seru, A. (2014). Firm boundaries matter: Evidence from conglomerates and r&d activity. *Journal of Financial Economics*, 111(2):381–405.

Webb, M. (2019). The impact of artificial intelligence on the labor market. *Available at SSRN 3482150*.

Zolas, N., Kroff, Z., Brynjolfsson, E., McElheran, K., Beede, D. N., Buffington, C., Goldschlag, N., Foster, L., and Dinlersoz, E. (2021). Advanced technologies adoption and use by us firms: Evidence from the annual business survey. Technical report.

A Data Appendix

A.1 Innovation Measures

The IAB-BP asks its respondents whether they had the following four types of innovation activities in the previous year of the survey. Two of them are used as a measure of vertical innovation, and one of them is used as a measure of horizontal innovation. The other question is not used in the paper but enters as a control in the regression equation in A.3.

1. **Quality Improvement**: In the last business year, did your establishment improve or further develop a product or service which had previously been part of your portfolio? ($\in$ vertical innovation in the paper)

2. **Product Expansion**: In the last business year, did your establishment start to offer a product/service that had been available on the market before? (= horizontal innovation in the paper)

3. **Variety Creation**: Have you started to offer a completely new product or service in the last year for which a new market had to be created? (excluded from the paper)

4. **Process Innovation**: Did you develop or implement procedures in the last business year which have noticeably improved production processes or services? ($\in$ vertical innovation in the paper)

Table A.1 shows the frequencies of innovation separately for four different questions.

Table A.1: Raw Innovation Frequencies across Size

	Quality Improv.	Product Expansion	New Variety	Process Innov.	Any Innov.	N. Est.
All	31.01	20.09	5.76	11.77	39.70	91,823
Small	23.01	14.82	3.36	7.09	30.72	10,363
Medium	27.18	16.80	3.80	9.20	34.78	11,263
Large	38.60	23.56	7.95	16.61	47.94	42,670

Further, Table A.2 shows the innovation frequencies across equal-sized establishment age groups. As reported in previous studies using patent measures, such as Acemoglu et al. (2018), despite the positive correlation between size and age, younger establishments are more likely to innovate both horizontally and vertically. However, the age dependency is flatter than the size dependency.

Table A.2: Innovation Frequencies across Age (in %)

	Quality Improv.	Product Expansion	New Variety	Process Innov.	Any Innov.	N. Est.
All	31.01	20.09	5.76	11.77	39.70	91,823
Young	32.50	23.00	6.85	12.50	42.08	23,954
Medium	30.61	18.57	5.49	11.18	38.74	26,306
Old	29.87	18.43	4.92	11.49	38.14	41,563

A.2 Comparison to Patent-Based Measures

I compare the survey-based measured of innovation to the patent-based ones, which have been widely used in the innovation literature. Unfortunately, it is impossible to match patents to establishments in IAB-BP, because of the anonymization. As a result, I match the class of patents to the sector of establishment and construct sector $\times$ year. I count the number of patents granted to German entities by the United States Patent and Trademark Office (USPTO) in each sector, using the raw patent-level data parsed and managed by

`patentsview.org`. I first translate the cooperative patent class endowed by the USPTO to 3-digit North America Industry Classification System (NAICS) Code of 2007 using probabilistic crosswalks constructed in Goldschlag et al. (2019). Then, I manually match the 3-digit NAICS code to the sectoral specification of IAB-BP.

First, the patent-based measure of innovation does not even exists for agriculture, mining, utility, and more importantly, service sectors. Patent measures exists primarily for manufacturing sectors where measuring new knowledge is more tangible. Innovation made in service sector is often hard to be patented. For example, software is not protected by patent but by copyright. Software patents do exist, but they often target to drive out their competitors rather than measure actual innovation.

Then, I compare the total number of patents to the fraction of either vertically or horizontally innovating establishments. In Figure A.1, the fraction of innovating establishments in each sector and year is overall positively correlated with the number of patents per establishments in that sector and year in the pooled sample, and the correlation coefficient is 0.55. This positively correlation, however, comes from sectoral heterogeneities than time-series variations within each sectors. Indeed, within each sector, the log number of patents per establishments is almost flat over the fraction of innovating establishments. Incorporating sectoral heterogeneities is preferred in this case because there can be lags between the appearance of frontier knowledge, which is proxied by the patent data, and the adoption of new knowledge, which appears as the fraction of innovating establishments.

Figure A.1: Fraction of Innovating Establishments and Number of Patents

In the next two figures, I distinguish vertical and horizontal innovation in the survey measure and external and internal innovation in the patent measure. Akcigit and Kerr (2018) defines internal patents as patents cited by other patents granted to their assignees for more than half of the total citations made on them. External patents are all other patents than internal patents. They use internal vs. external patents to measure innovation over firms' previous product lines vs. innovation made over others' product lines. I classify patents using the previously written criterion and recalculate the number of internal and external patents in each sector and year. Then I draw scatter plots of the number of internal and external patents per establishment against the fraction of vertically and horizontally innovating establishments, respectively.

Figures A.2 and A.3 show the results. In Figure A.2, the vertical innovation measure at the sector and year level is positively associated with the number of internal patents per establishment. This positively correlation again comes from the sectoral heterogeneities in the average fraction of vertical innovation and the number of internal patents rather than

Figure A.2: Fraction of Vertically Innovating Establishments and Number of Internally Patents

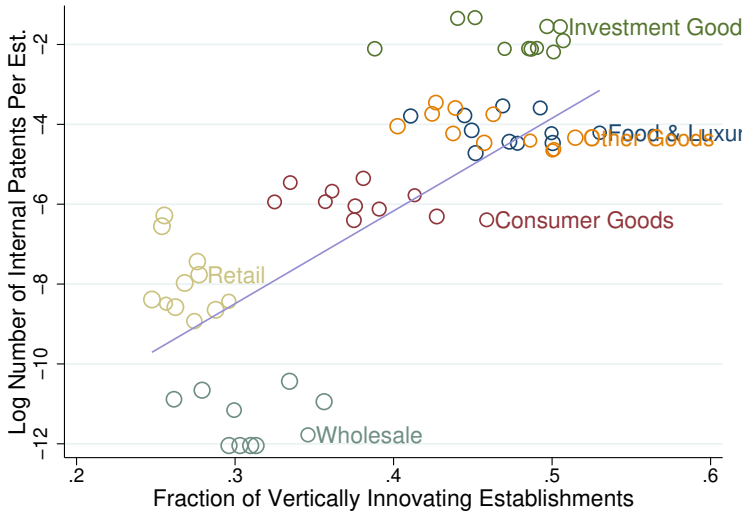
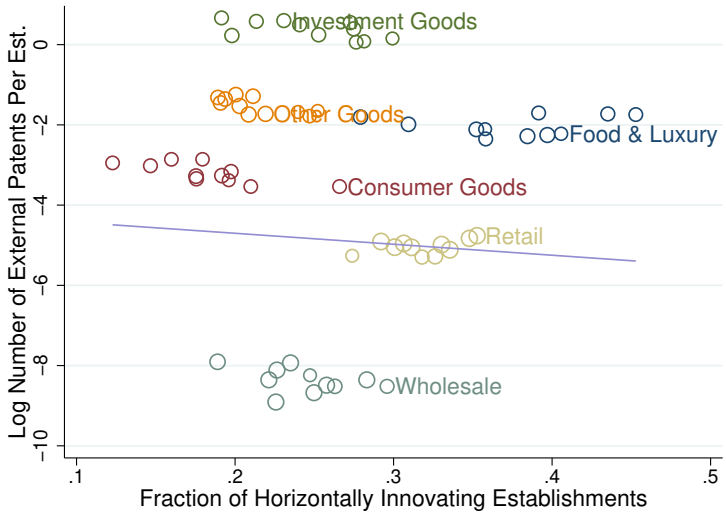


Figure A.3: Fraction of Horizontally Innovating Establishments and Number of Externally Patents



within-sector variations. On the other hand in Figure A.3, the measure of horizontal innovation is almost uncorrelated with the number of external patents per establishment. The retail sector has a relatively higher fraction of horizontally innovating establishments than other manufacturing sectors, but its number of external patents is lower than capital goods manufacturing sector. This was in contrast to the vertical innovation case where the retail sector has both a lower fraction of vertically innovating establishments than most manufacturing establishments and a lower number of vertical patents per establishment.

A.3 Surveyed Innovation and Establishment Performance

To investigate the implications of innovation measures at the establishment level more rigorously, I regress a statistical model of dynamic correlations of establishment-level behaviors with innovation dummies using the specification below. First, the dependent variables on growth are defined in a way similar to Davis et al. (1998).

- Employment growth rate = $(AdmEmp - L.AdmEmp)/(\frac{1}{2}AdmEmp + \frac{1}{2}L.AdmEmp)$
- Hiring rate = $2 \times Hiring/(\frac{1}{2}AdmEmp + \frac{1}{2}L.AdmEmp)$
- Separation rate = $2 \times Separation/(\frac{1}{2}AdmEmp + \frac{1}{2}L.AdmEmp)$
- Wage, Revenue, Investment growth rates are defined similarly.
- Hiring rate = $2 \times Hiring/(\frac{1}{2}AdmEmp + \frac{1}{2}L.AdmEmp)$
- Separation rate = $2 \times Separation/(\frac{1}{2}AdmEmp + \frac{1}{2}L.AdmEmp)$
- Fraction of Trained Employees = $2 \times \#ClassParticipation/(\frac{1}{2}AdmEmp + \frac{1}{2}L.AdmEmp)$
- Establishment age = Survey Year - Year of Foundation,

where

- $AdmEmp$ = Employment of an establishment as of June 30 in the survey year from the administrative data
- $Hiring$ = Total number of newly hired workers in the first half of the survey year from the survey
- $Separation$ = Total number of separated workers in the first half of the survey year from the survey
- $Wage\,expense$ = gross wage payment as of June in the survey year from the administrative data
- $Revenue$ = Business volume in the previous year from the survey
- $Investment$ = Sum of investment expenditures in the previous year from the survey
- $\#ClassParticipation$ = The number of classes participations at least partially covered by the establishment from the survey

All samples are weighted by the cross-sectional weight provided by the IAB. Since the year of establishment is left-censored in 1990, I replace the year of establishment with the year of 1990 if the establishment existed before 1990. I exclude observations with missing age. Table A.3. first shows the summary statistics for the dependent variables in the regression exercise.

Table A.3: Summary Statistics - Outcome Variables (in %)

	Mean	Sd	Median	1st Q.	3rd Q.	N.
Employment Gr.	0.72	22.06	0.00	0.00	4.88	110,946
Hiring Rate	13.77	40.56	0.00	0.00	10.53	99,046
Separation Rate	11.39	36.18	0.00	0.00	6.30	99,112
Wage Gr.	2.14	14.65	1.27	-1.52	5.93	91,358
Rev. Gr.	2.13	27.86	0.00	-7.68	12.39	77,919
Invest. Gr.	-5.63	1.55	0.00	-198.01	169.23	81,008
Training Rate	79.73	184.23	24.29	0.00	131.58	85,546

Overall employment-related variables imply that most of the establishments in the sample neither hire new workers nor separate from their existing workers. As a result, they stay at their initial employment size while an average establishment grows *conditional on survival*. Wage and revenue increase, but investment dwindles on average as the establishment ages. An average establishment has approximately 80% of workers trained, but a median firm has only 24.3% of its employees trained in each year at least at a partial expense of the establishment[22]. Finally, establishments show very heterogeneous dynamics in those variables.

Then, the following event-study-like regression specifications estimate dynamic correlations of innovation dummies with dependent variables before and after the innovation events.

$$Y_{it} = \sum_{s=-5}^{5} \mathbf{1}^{a}_{it+s}\beta^{a}_{s} + \delta_i + \gamma_t + \varepsilon_{it} \tag{A.1}$$

where Y_{it} is employment growth, hiring, separation rates of establishment i at year t, $\mathbf{1}^{a}_{is}$ is indicator of innovation type a, either vertical innovation ($verti$) or horizontal innovation ($horiz$). δ_i is the establishment fixed effect, and γ_t is the year fixed effect.

In this regression, I use all samples from 2003, 5 years before the beginning of the innovation modules, to estimate the pre-trend. Since the survey asks about innovation activities in the previous year of the survey, while the wage expense and the employment variables are defined as of June of the survey year, the growth rate after the innovation may be the one between the innovation year and the previous year of the innovation. However, as shown in Section 2.2, most firms do not experience a size growth relative to an average firm between the innovation year and the previous year. Thus, unlike in the Figure 5, I set the employment growth rate between the survey year and the previous year as the

[22]Since this question asks the number of class participation in the training program, it can be larger than the number of employees.

growth rate of the innovation year ($s = 0$) if the innovation variable takes the value of one in the same survey. Similarly, because the numbers of hiring and separation are defined in the first six months of the survey year, the hiring and separation rates of the current year are defined as the hiring and separation rates of the innovation year if the innovation activities of the previous year took place in the survey of the current year. The lagged terms in the regression equations are defined in the regression accordingly. The profit and the investment are surveyed as being made in the last year. For a similar reason, the profit and the investment of the survey year are the profit and the investment of the innovation year if the innovation dummies are one in the survey of the current year.

I further consider the following specification where I include all the innovation types surveyed in the data. This specification controls for any spurious correlation of individual innovation types to outcome variables Y_{it} through other types of innovation[23].

$$Y_{it} = \sum_{s=-5}^{5} \mathbf{1}_{it+s}^{verti} \beta_s^{verti} + \sum_{s=-5}^{5} \mathbf{1}_{it+s}^{horiz} \beta_s^{horiz} + \sum_{s=-5}^{5} \mathbf{1}_{it+s}^{newvar} \beta_s^{newvar} + \delta_i + \gamma_t + \varepsilon_{it} \tag{A.2}$$

where $a = newvar$ indicates the creation of entirely new products, which is also reported in the survey.

Table A.4 shows estimation results on employment-related variables. Vertical innovation predicts an increase in employment growth by 1.05 percentage points in the innovation year, but the effect disappears three years after the vertical innovation. On the other hand, horizontal innovation correlates significantly with increases in employment in the innovation year. This correlation accumulates over time and becomes larger four years from the third to the sixth columns. The employment growth after vertical and horizontal innovation entirely comes from additional hiring. Especially, horizontal innovation increases hiring rates by 2.3

[23] Samples with missing growth rates are excluded. These samples are often entrant and exiting establishments but also contain samples that disappeared or are added in the panel.

percentage points in the innovation year in the third column of the second panel in Table A.4. Due to large measurement errors associated with the surveyed number of new hires, the coefficient of horizontal innovation becomes less significant but still stays high three years after the innovation. The coefficients of vertical and horizontal innovation on separation rates are overall insignificant and small in magnitude. The only exception, vertical innovation over four-year lags, indicates that the vertical innovation may be associated with an *increase* in the separation rates cumulatively three years after the vertical innovation. This is consistent with the fact that vertical innovation features an initial spike in employment but predicts no impact three years after.

Table A.4: Regression Results

Dependent Variable: Employment Growth Rates

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	1.05***		0.85***	-0.34		-0.93
	(0.31)		(0.32)	(0.67)		(0.75)
Horizontal Innov.		1.23***	1.10***		2.42***	3.25***
		(0.35)	(0.38)		(0.83)	(0.97)
N.	100,770	100,770	100,770	100,770	100,770	100,770
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Dependent Variable: Hiring Rates

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	1.98***		1.26**	2.33*		0.97
	(0.59)		(0.62)	(1.28)		(1.44)
Horizontal Innov.		2.75***	2.41***		3.80**	3.34*
		(0.68)	(0.73)		(1.60)	(1.86)
N.	100,406	100,406	100,406	100,406	100,406	100,406
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Dependent Variable: Separation Rates

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	0.56		0.28	2.96**		2.61*
	(0.59)		(0.62)	(1.28)		(1.45)
Horizontal Innov.		0.76	0.62		1.28	-0.09
		(0.68)	(0.73)		(1.60)	(1.86)
N.	100,475	100,475	100,475	100,475	100,475	100,475
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Note: In the columns specified as 1 Year and 4 Year, estimates for β_0^a and $\sum_{s=0}^{3} \beta_s^a$ are reported, respectively. The third and the sixth columns follow regression equation (2), and all the other columns follow regression specification (1). Numbers in the parentheses are the standard errors of the estimates. $***$ - Significant at 1%, $**$ - Significant at 5%, $*$ - Significant at 10%. All samples are weighted by the cross-sectional weight from the data provider.

These properties are incorporated into the structural model of endogenous innovation choice in Section 3. In the model, vertical innovation is associated with an increase in the

quality of a product line by an establishment originally holding the line. This leads to a small increase in size, and the effect disappears fast as the quality depreciates over time. On the other hand, horizontal innovation is modeled as an expansion of an establishment to a new product line. As a result, employment size jumps up by a larger amount, and the effect lasts until the new product line is taken by another establishment.

More specifically in the model, the step size of vertical innovation is constant regardless of their previous productivity level, which implies constant production labor growth after vertical innovation. The rationale for this assumption is that the growth rate of size after vertical innovation is comparable and not significantly different between small and medium size groups, which are more likely to have only one product line. The size growth in the vertical innovation year is 2.32% for the small size group and 2.61% for the medium size group[24]. They are similar in magnitude and not significantly different from each other. On the other hand, horizontal innovation is modeled as an additional product line of which the productivity is the same as the underlying product line, unlike other Schumpeterian models such as Akcigit and Kerr (2018) where the step size distribution is the same for all external innovation. This assumption is to replicate the horizontal innovation rate which is increasing in size even between the small and the medium group. Establishment size is positively correlated with underlying productivity. Thus, the innovation frequency that is increasing in size is interpreted as the innovation frequency that is increasing in underlying productivity, which the assumption makes it possible to replicate in the model. Another rationale of this assumption is that the mean wage of full-time employees imputed from the administrative data set does not increase substantially and significantly the horizontal innovation, unlike vertical innovation, regardless of the lagged size group of the establishments. The magnitude is also close to zero. As long as productivity growth is reflected in wages, this result implies that horizontal innovation does not increase the productivity of the establishment.

[24]The 'small' group consists of establishments in the first three deciles of the size distribution, while the 'medium' group ones are the establishments in the second three deciles of the employment size distribution.

In Table A.5, I show the regression results on other dependent variables on wage, revenue, and investment growth rates, and the fraction of trained employees. Vertical innovation is associated with wage and revenue increases in the innovation year but leads to decreases in wage and revenue three years after. This, as in the case of employment, suggests that the increase in profitability after vertical innovation disappears soon and the establishment eventually shrinks without further innovation. Horizontal innovation is not associated with wage increases, but it leads to a larger increase in revenue. Due to substantial measurement errors associated with survey measures on revenue, overall standard errors are larger than the variables from the administrative data set. As a result, the significance of horizontal innovation disappears with a large standard error with four years of lags, but the magnitude remains quite high even three years after the innovation year. This result is consistent with the interpretation that the new product opportunity from horizontal innovation gives a larger increase in revenue and lasts longer than vertical innovation. Both innovation types are associated with a large increase in investment. Lastly, especially horizontal innovation predicts that more employees are trained at the establishment's expense.

Table A.5: Regression Results

Dependent Variable: Wage Growth Rates

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	0.60***		0.65***	-0.79**		-0.89**
	(0.17)		(0.18)	(0.37)		(0.41)
Horizontal Innov.		-0.10	-0.31		-0.18	0.05
		(0.20)	(0.21)		(0.46)	(0.53)
N.	91,482	91,482	91,482	91,482	91,482	91,482
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Dependent Variable: Revenue Growth Rates

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	1.33***		0.98**	-2.34***		-2.70***
	(0.36)		(0.38)	(0.78)		(0.87)
Horizontal Innov.		1.27***	0.86**		0.36	1.12
		(0.41)	(0.44)		(0.97)	(1.12)
N.	71,318	71,318	71,318	71,318	71,318	71,318
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Dependent Variable: Investment Growth Rates

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	29.06***		24.88***	12.37***		8.49*
	(2.09)		(2.20)	(4.53)		(5.09)
Horizontal Innov.		25.00***	15.64***		18.51***	12.77*
		(2.38)	(2.55)		(5.66)	(6.54)
N.	73,851	73,851	73,851	73,851	73,851	73,851
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Dependent Variable: Fraction of Trained Employees

N. Lags	1 Year	1 Year	1 Year	4 Years	4 Years	4 Years
Vertical Innov.	26.89***		15.92*	36.22**		-0.37
	(7.88)		(8.36)	(18.21)		(20.66)
Horizontal Innov.		37.80***	27.49***		74.46***	48.87*
		(9.03)	(9.78)		(22.71)	(26.56)
N.	86,869	86,869	86,869	86,869	86,869	86,869
Other Innov.			✓			✓
Fixed Effects	Est.	Est.	Est.	Est.	Est.	Est.

Note: In the columns specified as 1 Year and 4 Year, estimates for β_0^a and $\sum_{s=0}^{3} \beta_s^a$ are reported, respectively. The third and the sixth columns follow regression equation (2), and all the other columns follow regression specification (1). Numbers in the parentheses are the standard errors of the estimates. $***$ - Significant at 1%, $**$ - Significant at 5%, $*$ - Significant at 10%.

A.4 Sector-level Innovation and Non-Innovating Establishments

Another prediction of Schumpeterian models is that innovating establishments replace non-innovating establishments in the market, so-called 'creative destruction'. I define the market as the composition of establishments in the same year and the same sector and how average innovation behavior in a market is associated with the behavior of non-innovating establishments. Then, the following establishment-level regression equations are considered. Note that the samples for the regression only include non-innovating establishments, which do not innovate vertically or horizontally in years t, $t-1$, and $t+1$.

$$Y_{it} = \beta^I I_{j(i)t} + \gamma' X_{it} + \epsilon_{it} \tag{A.3}$$

$$Y_{it} = \beta^V L.V_{j(i)t} + \beta^H L.H_{j(i)t} + \gamma' X_{it} + \epsilon_{it}, \tag{A.4}$$

where Y_{it} is the same dependent variables of establishment i in year t as in Equations A.1 and A.2, $I_{j(i),t}$ is average innovation measure of sector j that i belongs to in time t, L is the yearly lag operator, $I = V, H$, and X_{it} contains controls such as an entrant dummy, the lagged establishment size, the sector-year level Herfindahl-Hirschman index and total employment growth, and fixed effects. The average vertical innovation measure $V_{j(i)t}$ is defined by the weighted fraction of establishments that experienced vertical innovation in sector $j(i)$ in year t. The average horizontal innovation measure $H_{j(i)}$ is determined similarly.
I first consider separate regressions for different types as in Equation A.4. However, because of the positive correlation among innovation measures, I assume additive separability across impacts of different innovation measures on non-innovation establishments' performance and also consider the second regression equation (4). In this regression, I also include the employment share of entrant establishments in sector $j(i)$ and in year t. This variable is used to proxy entrant innovation.

Table A.6 shows the regression results. In the first panel of the size growth among

non-innovating surviving firms is much lower in a sector of a year with a higher fraction of horizontal innovation. This result is even robust after controlling for the sectoral heterogeneity in size growth and capturing only time-series variations within each sector. Often in the literature, this negative effect is hard to find because the business-cycle shocks tend to move all establishments in the same direction regardless of their innovation status. As for vertical innovation, its coefficient is often smaller and insignificant. This supports the idea that horizontal innovation is important in generating job flows.

The second panel of Table 3 shows the correlation of sector-wise innovation with the extensive margin of establishment dynamics. The outcome variable Y_{it} is now the establishment exit dummy, which takes the value of one only if the establishment existed in the previous year's panel and exits in the next year. Again, the exit behavior, as opposed to sample attrition, is identified by the variable indicating the last year the establishment appears in the administrative data. The exit dummy takes the value of zero if the sample existed in the previous year panel and exists in the market in the current year.

The coefficient estimate for β^H changes its sign after controlling for the sector fixed effects. Before including industry fixed effects, the estimate is significantly negative, consistent with the theory that more horizontal innovation drives out non-innovating establishments in the extensive margin as well as in the intensive margin. However, after including industry fixed effects, the estimate becomes significantly positive. This is because the underlying shock behind the time series variations within each industry is more likely to have business cycle shock components that affect all establishments in the same direction. The sector-level variation is more likely to catch the long-run effect of persistent heterogeneity of industries over innovation frequencies.

The last panel of Table A.6 shows the correlation between industry-level innovation measures and the wage growth of non-innovating establishments. The coefficient estimate is significantly positive, implying that the innovation has spillover effects of increasing wages

among non-innovating establishments. This may contribute to the smaller size growth of the non-innovating establishment.

Table A.6: Industry-level Innovation and Non-innovating Establishments

	Dep. Variable: Employment Growth					
	(1)	(2)	(3)	(4)	(5)	(6)
Vertical Innov.	-2.03		3.34	-24.17***		-17.35
	(2.57)		(2.92)	(8.89)		(9.28)
Horizontal Innov.		-9.34***	-10.85***		-32.05***	-29.51***
		(2.57)	(2.92)		(9.60)	(10.13)
Entrant Emp. Share			-38.85**			-53.71
			(19.11)			(30.03)
N.	20,997	20,997	20,997	20,839	20,839	20,839
Fixed Effects	Year	Year	Year	Year & Sector	Year & Sector	Year & Sector

	Dep. Variable: Establishment Exit					
	(1)	(2)	(3)	(4)	(5)	(6)
Vertical Innov.	4.00**		1.21	6.11		9.66
	(1.60)		(1.82)	(5.44)		(5.68)
Horizontal Innov.		6.15***	5.49***		-10.34	-12.79**
		(1.60)	(1.82)		(5.89)	(6.21)
Entrant Emp. Share			33.97***			10.06
			(11.91)			(18.41)
N.	21,149	21,149	21,149	20,989	20,989	20,989
Fixed Effects	Year	Year	Year	Year & Sector	Year & Sector	Year & Sector

	Dep. Variable: Wage Growth					
	(1)	(2)	(3)	(4)	(5)	(6)
Vertical Innov.	3.64**		1.04	4.87		1.71
	(1.44)		(1.69)	(5.18)		(5.40)
Horizontal Innov.		5.81***	5.24***		11.97**	9.75
		(1.48)	(1.74)		(5.62)	(5.93)
Entrant Emp. Share			-23.52**			-32.68
			(11.82)			(17.87)
N.	18,024	18,024	18,024	17,878	17,878	17,878
Fixed Effects	Year	Year	Year	Year & Sector	Year & Sector	Year & Sector

B Model Appendix

B.1 Derivation of the Value Function

The entire firm value is characterized by the following equation.

$$
\begin{aligned}
(r+\delta)\,\mathfrak{V}\left(\left\{x_j\right\}_{j=1}^{N_i}, W_t, Y_t\right) = \max_{\{\xi_j,\zeta_j\}\geq 0} \Bigg\{ & \sum_{j=1}^{N_i} Y_t \pi(x_j) - \sum_{j=1}^{N_i} g_x x_j \mathfrak{V}_{t,x_j}\left(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t\right) \\
& + g_Y Y_t \mathfrak{V}_{Y_t}\left(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t\right) + g_w W_t \mathfrak{V}_{w_t}\left(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t\right) \\
& - W_t \sum_j c_\xi\left(\xi_j\right) + \sum_j \xi_j \left(\mathfrak{V}_t\left(\left\{x_{j'}\right\}_{j'\neq j} \cup \left\{x_j + \lambda^i \bar{x}\right\}, W_t, Y_t\right) - \mathfrak{V}_t\left(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t\right)\right) \\
& - W_t \sum_j c_\zeta\left(\zeta_j\right) + \sum_j \zeta_j \left(p + (1-p)\,F\left(x_j\right)\right) \\
& \quad \times \left(\mathfrak{V}_t\left(\left\{x_{j'}\right\}_{j'=1}^{N_i} \cup \left\{x_{N_i+1} = x_j\right\}, W_t, Y_t\right) - \mathfrak{V}_t\left(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t\right)\right) \\
& + \sum_j \tau(x_j)\left(\mathfrak{V}_t\left(\left\{x_{j'}\right\}_{j'=1}^{N_i} \setminus \left\{x_j\right\}, W_t, Y_t\right) - \mathfrak{V}_t\left(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t\right) - \kappa\right) - W_t \delta \kappa \#\left(\left\{x_j\right\}_{j=1}^{N_i}\right) \Bigg\}
\end{aligned}
$$

where $\mathfrak{V}_{t,x_j}(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t) = d\mathfrak{V}(\left\{x_{j'}\right\}_{j'=1}^{N_i}, W_t, Y_t)/dx_j$.
First, guess and verify that $\mathfrak{V}_t\left(\left\{x_j\right\}_{j=1}^{N_i}, w_t, Y_t\right) = \sum_{j=1}^{N_i} V_t\left(x_j, w_t, Y_t\right)$, where

$$
\begin{aligned}
\left(r+\delta+\tau\left(x\right)\right) V_t\left(x, W_t, Y_t\right) = \max_{\xi,\zeta\geq 0} \Bigg\{ & Y_t \pi\left(x\right) - g_x x V_t'\left(x, W_t, Y_t\right) \\
& + g_Y Y_t V_{t,Y}(x, W_t, Y_t) + g_w w_t V_{t,W}(x, W_t, Y_t) \\
& - W_t c_\xi\left(\xi\right) + \xi\left(V_t\left(x + \lambda^i \bar{x}, W_t, Y_t\right) - V_t\left(x, W_t, Y_t\right)\right) \\
& - W_t c_\zeta\left(\zeta\right) + \zeta\left(p + (1-p)F(x)\right) V_t\left(x, W_t, Y_t\right) \\
& - \left(\tau\left(x\right) + \delta\right) \kappa W_t x \Bigg\}
\end{aligned}
$$

Next, guess and verify that $V_t(x, Y_t, w_t) = Y_t v(x)$, where

$$\begin{aligned}\left(\rho + \delta + \tau\left(x\right)\right) v\left(x\right) = \max_{\xi,\zeta\geq 0} \Bigg\{ & \pi\left(x\right) - g_x x v'\left(x\right) \\ & - w c_\xi\left(\xi\right) + \xi\left(v\left(x + \lambda^i \bar{x}\right) - v\left(x\right)\right) \\ & - w c_\zeta\left(\zeta\right) + \zeta\left(p + (1-p)F(x)\right) v\left(x\right) \\ & - \left(\tau\left(x\right) + \delta\right) \kappa w x \Bigg\}\end{aligned}$$

Use that $\rho = r - g_Y$, $V_{t,W}(x, W_t, Y_t) = 0$, and $w = W_t/Y_t$.

B.2 Step Size in the Quality Space

I show that there exists innovation step size functions, $\lambda^i(a, A)$ and $\lambda^e(a, A)$, in the absolute quality space $a \in \mathcal{A}$, so that the step sizes in the relative quality space $x \in \mathcal{X}$ are constant at $\lambda^i \bar{x}$ and $\lambda^e \bar{x}$, respectively.

$$\begin{aligned} x + \lambda^i \bar{x} &= \frac{\left(x + \lambda^i(a, P)\right)^\sigma}{A^{\sigma-1}} \\ \left(x A^{\sigma-1} + \lambda^i \bar{x} A^{\sigma-1}\right)^{1/\sigma} &= \left(a + \lambda^i A^{\sigma-1}\right)^{1/\sigma} \\ &= a + \lambda^i\left(a, A\right) \\ \bar{x} &= 1 \end{aligned}$$

Thus, for any λ^i, there is $\lambda^i(a, A) = \left(a + \lambda^i A^{\sigma-1}\right)^{1/\sigma} - a$ that ensures the constant step size in the relative quality space. Likewise, $\lambda^e(a, P) = \left(a + \lambda^e A^{\sigma-1}\right)^{1/\sigma} - a$ ensures the constant step size in the relative quality space.

B.3 Derivation of the Distribution Equation

The discrete-time analog of the distribution equation is given by the following equation.

$$
\begin{aligned}
F_t(x) \approx\ & F_{t+\Delta}(x + \Delta g_x x) - \Delta\delta F_{t+\Delta}(x + \Delta g_x x) \\
& - \int_{s\in(x-\lambda^i\bar{x},\bar{x}]} \Delta\left(\xi(s) + \psi\right) dF(s) \\
& - (1-p)\left(\int_{s>x} M\Delta\left(\zeta(s) + \psi\right) dF(s) + \Delta\chi \int_{s>x-\lambda^e\bar{x}} dF(s)\right) F(s) \\
& + p\left(\int_{s\leq x} M\Delta\left(\zeta(s) + \psi\right) dF(s) + \int_{s\leq x-\lambda^e\bar{x}} \Delta\chi dF(s)\right)
\end{aligned}
$$

Divide both sides by Δ, and let $\Delta \to 0$.

C Counterfactual Appendix

C.1 Transition Path: Details

I first fix Δ, the length of time interval, to approximate the continuous-time equations. With a slight abuse of the notation, subscript t means the object evaluated at time t. Then,

the value function along the transition path satisfies the following equation.

$$\begin{aligned}
\left(\rho+\delta+\tau_{t+\Delta}\left(x\right)\right)v_t\left(x\right) = \max_{\xi,\zeta\geq 0}\Bigg\{&\pi_t\left(x\right)+\underbrace{\frac{v_{t+\Delta}\left(x-\Delta g_{x,t+\Delta}x\right)-v_{t+\Delta}(x)}{\Delta}}_{\approx -g_{x,t+\Delta}xv'_{t+\Delta}(x)}+\frac{v_{t+\Delta}(x)-v_t(x)}{\Delta}\\
&-w_tc_\xi\left(\xi\right)+\xi\left(v_{t+\Delta}\left(x+\lambda^i\bar{x}\right)-v_{t+\Delta}\left(x\right)\right)\\
&-w_tc_\zeta\left(\zeta\right)+\zeta\left(p_t+(1-p_t)F_{t+\Delta}(x)\right)v_{t+\Delta}\left(x\right)\\
&-\left(\tau_{t+\Delta}\left(x\right)+\delta\right)\kappa w_tx\Bigg\} \qquad \text{(C.1)}
\end{aligned}$$

$$\xi_t(x) = \left(\frac{v_{t+\Delta}\left(x+\lambda^i\bar{x}\right)-v_{t+\Delta}\left(x\right)\Big)}{w_tc_\xi}\right)^{\epsilon_\xi} \qquad \text{(C.2)}$$

$$\zeta_t(x) = \left(\frac{\left(p_{t+\Delta}+(1-p_{t+\Delta})F_t(x)\right)v_{t+\Delta}(x)}{w_tc_\zeta}\right)^{\epsilon_\zeta} \qquad \text{(C.3)}$$

$$\chi_t = \left(\frac{\int\left(p_{t+\Delta}+(1-p_{t+\Delta})F_t(x+\lambda^e\bar{x})\right)v_{t+\Delta}(x+\lambda^e\bar{x})dF_t\left(x\right)}{w_tc_\chi}\right)^{\epsilon_\chi}, \qquad \text{(C.4)}$$

where $w_t := W_t/Y_t$ that is not constant anymore on the transition path. The distribution along the transition path is expressed as the following equation.

$$\begin{aligned}
F_{t+\Delta}(x) \approx &\underbrace{F_t(x+g_{x,t}x\Delta)}_{\approx\Delta f_t(x)g_xx+F_t(x)}-\Delta\delta F_t(x+g_{x,t}x\Delta)\\
&-\int_{s\in(x+g_{x,t}x\Delta-\lambda^i\bar{x},x+g_{x,t}x\Delta]}\Delta\xi_t(s)dF_t(s)\\
&-\Delta\left(1-p_{t+\Delta}\right)\left(G_{t+\Delta}(\infty)-G_{t+\Delta}(x)\right)F_t(x)\\
&+\Delta p_{t+\Delta}G_{t+\Delta}(x), \qquad \text{(C.5)}
\end{aligned}$$

where

$$G_{t+\Delta}(x) = \int_{s \leq x} \zeta_t(s) dF_t(s) + \int_{s \leq x - \lambda^e \bar{x}} \chi_t dF_t(s) \tag{C.6}$$

$$\tau_{t+\Delta}(x) = (1 - p_{t+\Delta}) \left(\chi_t \left(\int_{s > x - \lambda^e \bar{x}} dF_t(s) \right) + \int_{s > x} \zeta_t(s) dF_t(s) \right) \tag{C.7}$$

$$\delta = p_{t+\Delta} \int \zeta_t(s) dF_t(s) + \chi_t p_{t+\Delta}. \tag{C.8}$$

The sequences of prices w_t and r_t clear the markets for labor and the goods, respectively.

$$w_t^{new} = \left(\frac{\sigma - 1}{\sigma} \right) / \left(L^s(w_t^{new}) - \int_{\Omega_t} c_\xi(\xi_{it}) di - \int_{\Omega_t} c_\zeta(\zeta_{it}) di - c_\chi(\chi_t) \right) \tag{C.9}$$

$$r_t^{new} = \frac{C_{t+\Delta} - C_t}{C_t} + \rho, \tag{C.10}$$

where $L^s(w_t^{new}) = (w_t(1 - \tau_{L,t})/\phi)^\eta$ is the labor supply curve from the first order condition of the representative household. Lastly, the depreciation rate for x can be expressed as the

following equation.

$$g_{Y,t+\Delta} = g_{A,t+\Delta} - g_{w,t+\Delta} \tag{C.11}$$

$$\begin{aligned}
g_{x.t+\Delta} &= (\rho - 1)\, g_{A,t+\Delta} = g_{Y,t+\Delta} + g_{w,t+\Delta} \\
&= \underbrace{\int \left[\int_{s \in (x-\lambda^i \bar{x}, x]} \xi_t(s) dF_t(s) \right] dx}_{=:(\rho-1) g_t^{verti}} \\
&\quad + \underbrace{p_{t+\Delta} \int \int_{s>x} \zeta_t(s) dF_t(s) dx - p_{t+\Delta} \bar{\zeta}_t}_{=:(\rho-1) g_t^{horiz(1)}} \\
&\quad + \underbrace{p_{t+\Delta} \int \chi_t \int_{s>x-\lambda^e \bar{x}} dF_t(s) dx - p_{t+\Delta} \chi}_{=:(\rho-1) g_t^{entr(1)}} \\
&\quad + \underbrace{(1 - p_{t+\Delta}) \int \left(\int_{s>x} \zeta_t(s) dF_t(s) \right) F_t(x) dx}_{=:(\rho-1) g_t^{horiz(2)}} \\
&\quad + \underbrace{(1 - p_{t+\Delta}) \int \left(\chi_t \int_{s>x-\lambda^e \bar{x}} dF_t(s) \right) F_t(x) dx}_{=:(\rho-1) g_t^{entr(2)}},
\end{aligned} \tag{C.12}$$

where $g_{Y,t+\Delta} = (C_{t+\Delta} - C_t)/C_t$ and $\bar{\zeta}_t := \int \zeta_t(s) dF_t(s)$.

The equilibrium on the transition path is defined as value function $v_t(x)$; policy function $\xi_t(x)$, $\zeta_t(x)$; product line distribution $f_t(x)$; creative destruction rates $\tau_t(x)$; depreciation and growth rates $\mu_{x,t}$ and $\mu_{Y,t}$; entry rates χ_t; and a path for wage w_t and interest rate r_t such that

1. Value function and the policy function satisfy the limit of Equation C.1-C.3 when $\Delta \to 0$.

2. Distribution function satisfies the limit of Equation C.5-C.8 when $\Delta \to 0$.

3. The price schedule satisfies the limit of Equation C.9 and C.10 when $\Delta \to 0$.

4. The depreciation and the growth rates are consistent with the limit of Equation C.11 and C.12 with $\Delta \to 0$.

5. The path of entry rate satisfies Equation C.4 with $\Delta \to 0$.

The algorithm to find the equilibrium along the transition path is as follows.

1. Fix T, a very large number. I set $T = 100$ years in my calculation. This will be where the economy converges (approximately) to the new steady state.

2. Start with an arbitrary sequence for w_t, r_t, g_t, p_t, $\tau_t(x)$ and $f_t(x)$.

3. Given the rest, update $v_t(x)$, $\xi_t(x)$, $\zeta_t(x)$, and χ_t backward from $t = T$ to $t = 0$. Notice that the value at $t = T + \Delta$ will be the value at the new steady state.

4. Given the updated policy function, update $f_t(x)$, $\tau_t(x)$, and p_t forward from $t = 0$ to $t = T$. Notice that the initial f_t at $t = 0$ is the distribution at the old steady state.

5. Given the updated policy and distribution function, update w_t, r_t, and g_t forward, using Equation C.9, C.10, and C.12, respectively. After update, go to step 3 until they converge.

After the computation, we get $\{Y_t^{BS}\}_{t=0}^T$ and $\{Y_t^{TR}\}_{t=0}^T$ as our baseline BGP and transition path, respectively. Then, we can calculate the welfare of each path evaluated at time 0. Let W_0^{BS}, W_0^{TR} denote the welfare of the representative household on the baseline and the transition paths, respectively. The metrics described in Table 7 are defined by the following equations.

$$\Delta Y_0 / Y_0^{BS} := \left\{ Y_0^{tr} - Y_0^{BS} \right\} / Y_0^{BS}$$
$$t | Y_t^{TR} = Y_t^{BS} := \inf \left\{ t \geq 0 | Y_t^{TR} \geq Y_t^{BS} \right\}$$

Next, the consumption-equivalent variation (CEV) is derived by the following equations.

$$
\begin{aligned}
W_0^{TR} &= \int_0^\infty e^{-\rho t} \log\left(\left(1+CEV\right) Y_t^{BS}\right) dt \\
&= W_0^{BS} + \log\left(1+CEV\right) \int_0^\infty e^{-\rho t} dt \\
&= W_0^{BS} + \frac{\log\left(1+CEV\right)}{\rho} \\
CEV &:= \exp\left(\rho\left(W_0^{TR} - W_0^{BS}\right)\right) - 1
\end{aligned}
$$

I further decompose the change in welfare into vertical, horizontal, entrant innovation margins in the following way.

$$
\begin{aligned}
W_0 &:= \int_0^\infty e^{-\rho t} \log\left(e^{\int g_s ds} Y_0\right) dt - \int_0^\infty e^{-\rho t} \frac{\phi L_t^{1+\frac{1}{\eta}}}{1+\frac{1}{\eta}} dt \\
&= \int_0^\infty e^{-\rho t} \int_0^t g_s ds dt + \int_0^\infty e^{-\rho t} \log Y_0 dt - \int_0^\infty e^{-\rho t} \frac{\phi L_t^{1+\frac{1}{\eta}}}{1+\frac{1}{\eta}} dt \\
&= \int_0^\infty e^{-\rho t} \int_0^t g_s^{verti} ds dt + \int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{horiz(1)} + g_s^{horiz(2)}\right) ds dt \\
&\quad + \int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{entr(1)} + g_s^{entr(2)}\right) ds dt + other\, terms \\
CEV &\approx \rho\left(W_0^{TR} - W_0^{BS}\right) \\
&= \rho\left(\int_0^\infty e^{-\rho t} \int_0^t g_s^{verti,TR} ds dt - \int_0^\infty e^{-\rho t} \int_0^t g_s^{verti,BS} ds dt\right) \\
&\quad + \rho\left(\int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{horiz(1),TR} + g_s^{horiz(2),TR}\right) ds dt - \int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{horiz(1),BS} + g_s^{horiz(2),BS}\right) ds dt\right) \\
&\quad + \rho\left(\int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{entr(1),TR} + g_s^{entr(2),TR}\right) ds dt - \int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{entr(1),BS} + g_s^{entr(2),BS}\right) ds dt\right) \\
&\quad + residuals
\end{aligned}
$$

Then, I define the following metrics in Table 7.

$$\Delta g_0^{vert} := \rho \left(\int_0^\infty e^{-\rho t} \int_0^t g_s^{verti,TR} ds dt - \int_0^\infty e^{-\rho t} \int_0^t g_s^{verti,BS} ds dt \right)$$

$$\Delta g_0^{horiz} := \rho \left(\int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{horiz(1),TR} + g_s^{horiz(2),TR} \right) ds dt - \int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{horiz(1),BS} + g_s^{horiz(2),BS} \right) ds dt \right)$$

$$\Delta g_0^{entr} := \rho \left(\int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{entr(1),TR} + g_s^{entr(2),TR} \right) ds dt - \int_0^\infty e^{-\rho t} \int_0^t \left(g_s^{entr(1),BS} + g_s^{entr(2),BS} \right) ds dt \right)$$

C.2 Alternative Frisch Labor Supply and Entry Elasticity

I assume $\eta = 1$ and $\epsilon_\chi = 0.1$ for the baseline results in the paper. In this section, I test with alternative values for the elasticity of Frisch labor supply and establishment entry. Values for labor wedge and entry cost shifter are adjusted for each elasticity value to match the actual increase in labor supply. When $\epsilon_\chi = 0$, I assume the entry rate is fixed at the steady-state, and the entrant innovation does not consume any labor.

Table C.1: Changes in Key Moments under Alternative Elasticity Values

	Baseline	$\eta = 0.3$	$\eta = 4$	$\epsilon_\chi = 0$	$\epsilon_\chi = 1$
ΔGrowth	0.07%p	0.07%p	0.07%p	0.07%p	0.12%p
ΔWage	-0.0974	-0.0962	-0.0969	-0.0979	-0.0911
ΔR&D Share	-1.81%p	-1.78%p	-1.80%p	0.34%p	-2.01%p
ΔJC	0.12%p	0.12%p	0.12%p	0.14%p	0.15%p
ΔJD	0.10%p	0.10%p	0.10%p	0.13%p	0.10%p
ΔVertical	0.82%p	0.81%p	0.82%p	0.82%p	0.80%p
ΔHorizontal	0.01%p	0.01%p	0.01%p	0.02%p	0.01%p
CEV	6.152%	6.305%	6.012%	6.806%	6.533%
dY_0/Y_0^{BS}	9.272%	9.158%	9.230%	9.330%	9.159%
Δg_0^{verti}	0.858%	0.848%	0.854%	0.859%	1.248%
Δg_0^{horiz}	0.066%	0.065%	0.065%	0.046%	0.190%
Δg_0^{entr}	0.129%	0.127%	0.127%	0.072%	0.502%
ΔL	-3.400%	-3.140%	-3.493%	-2.698%	-3.530%

Note: The baseline is under $\eta = 1$ and $\epsilon_\chi = 0.1$. The columns that start with η assumes those values for η with $\epsilon_\chi = 0.1$, and the others starting with ϵ_χ assumes the values for ϵ_χ with $\eta = 1$. All rates are measured annually. The job creation and destruction results are defined per product line, which is not observable in the data. Specifically, the job creation rate per product line is defined as the sum of job creation from vertical and horizontal innovation divided by the mass of product lines, which is normalized to one. The job creation (JC) are the sum of the frequencies of vertical, horizontal, and entrant innovations multiplied by the increment in production and R&D labor hired by the product line after each innovation, respectively. The job destruction per product line (JD) is defined as the sum of job destruction from quality depreciation and creative destruction. $\Delta Y_0/Y_0^{BS}$ means the initial change in output due to the policy introduction. CEV is the consumption equivalent variation for the representative household in the baseline economy to have the same lifetime utility as in the transition economy. Δg_0^j is the contribution of innovation type j on welfare change over the transition path. For the formal definitions, see Appendix C.1.

Table C.1 shows how key moments change between the pre-reform steady-state and the post-reform steady-state or on the transition path from the pre-reform steady-state to the post-reform steady-state. All moments are relatively flat, except the consumption equivalent variation (CEV). The CEV is larger with a lower η, and these changes in CEV come entirely from the changes in disutility from labor associated with the same increase in labor supply. If we only consider welfare changes from the shape of a consumption profile,

they are modestly flat or increases in Frisch elasticity because the higher elasticity implies smaller wage responses to the increase in demand after the Hartz reform. As a result, the wage decrease is larger with a higher elasticity value, and the increase in welfare from more growth through vertical innovation is larger.

The lower entry elasticity is associated with smaller incentives for vertical innovation from more frequent creative destruction. As a result, R&D labor demand decreases from a lower vertical innovation rate despite more entries, and the welfare increase is smaller. In the case of $\epsilon_\chi = 1$, the entry increase contributes to higher welfare unlike other cases, but the increment is not enough to cancel out the decrease in welfare from the reduction in vertical innovation.

C.3 Effects of R&D Tax Incentive

In this section, I compare the steady states with and without R&D subsidies. Germany began to implement a new R&D tax incentive program in 2020. 25% of R&D expenditures are exempt from corporate taxes. The average corporate tax rate is 15%, so the subsidy rate is $(0.75 \times 0.85 + 0.25 - 0.85)/0.85 = 4.41\%$. I still assume $\eta = 1$ and $\epsilon_\chi = 0.1$.

Table C.2: Key Changes in Steady State Moments under R&D Tax Incentive

Moment	Baseline	$s_\xi > 0$	$s_\zeta > 0$	$s_\chi > 0$	All
Output Growth Rate	1.30%	1.33%	1.30%	1.30%	1.33%
Wage	1.0000	1.0018	1.0013	1.0054	1.0076
R&D Labor Share	27.24%	27.47%	27.39%	27.05%	27.45%
Avg. Monthly Vertical Innov. Freq.	1.41%	1.44%	1.41%	1.40%	1.44%
Avg. Monthly Horizontal Innov. Freq.	1.42%	1.42%	1.44%	1.42%	1.44%
Verti. Innov. Contri. to Growth	90.81%	90.99%	90.57%	90.70%	90.66%
Horiz. Innov. Contri. to Growth	2.81%	2.75%	2.91%	2.83%	2.87%
Entr. Innov. Contri. to Growth	6.38%	6.26%	6.52%	6.47%	6.47%
Job Creation Due to Verti. Innov.	24.03%	25.26%	24.53%	23.44%	23.93%
Job Creation Due to Horiz. Innov.	23.62%	21.95%	23.06%	26.64%	26.90%
Job Creation Due to Entr. Innov.	52.36%	52.79%	52.40%	49.93%	49.17%
Job Dest. Due to Creative Dest.	28.18%	33.60%	30.02%	31.40%	27.38%
Job Dest. Due to Obsolescence	66.35%	61.44%	65.31%	64.15%	67.64%
Job Dest. Due to Exog. Exit	5.48%	4.96%	4.67%	4.45%	4.98%

Note: The baseline is where there is no tax incentive, so $s_\xi = s_\zeta = s_\chi = 0$. The following three columns correspond to the case with only one type of vertical, horizontal, and entrant innovations subsidized. The last column corresponds to the case where the all types of innovations are equally subsidized. All rates are measured annually. The growth decomposition formula is derived in Section 3.6. The job creation and destruction results are defined per product line, which is not observable in the data. Specifically, the job creation rate per product line is defined as the sum of job creation from vertical and horizontal innovation divided by the mass of product lines, which is normalized to one. The job creation (JC) are the sum of the frequencies of vertical, horizontal, and entrant innovations multiplied by the increment in production and R&D labor hired by the product line after each innovation, respectively. The job destruction per product line (JD) is defined as the sum of job destruction from quality depreciation and creative destruction.

The key steady-state and transition path moments are shown in Table C.2. The first column corresponds to the baseline case before the tax incentives, and the last column corresponds to the full incentive case that favors all kinds of innovations. The three columns in the middle correspond to the case that implements the tax incentive for only vertical innovation $s_\xi > 0$, only horizontal innovation $s_\zeta > 0$, and only entrant innovation $s_\chi > 0$.

The changes are small at the steady-state. Nonetheless, the policy increases growth rate through higher average vertical innovation rates, as seen from the second column where the increase output growth rate is more pronounced by subsidizing vertical innovation only. When only entrant or horizontal innovations are subsidized, the steady-state growth rate decreases because the increase in these innovation types tend to decrease their average step sizes.

Table C.3 displays statistics from the transition path analyses. In all cases, the output jumps down initially due to more labor used for incumbent innovation and additionally for entrant innovation in exchange for faster economic growth, and it takes years for the transition path to catch up with the baseline economy[25]. However, in the full reform case, such tax incentive program actually contributes to a welfare loss because horizontal and especially entrant innovations tend to soak up an excessive amount of resources needed for production without contributing to productivity growth. When only vertical innovation is subsidized, there is a welfare gain.

[25] In the case of only subsidizing entrant innovation in the third column, the transition path never catches up with the baseline BGP, because the higher frequency of entrant innovation reduces cross-sectional dispersion of relative qualities and step-size of horizontal and entrant innovations.

Table C.3: Key Changes in Transition Path Moments under R&D Tax Incentive

Moment	$s_\xi > 0$	$s_\zeta > 0$	$s_\chi > 0$	All
CEV	0.20%	-0.02%	-0.70%	-0.53%
$\Delta Y_0/Y_0^{BS}$	-0.14%	-0.07%	-0.49%	-0.69%
Δg_0^{verti}	0.39%	0.01%	-0.04%	0.36%
Δg_0^{horiz}	-0.00%	0.02%	0.00%	0.02%
Δg_0^{entr}	0.00%	0.03%	0.02%	0.03%
ΔL	-0.05%	-0.02%	-0.19%	-0.27%
$t\|Y_t^{TR} = Y_t^{BS}$ in years	5.34	14.40	-	24.74

Note: $\Delta Y_0/Y_0^{BS}$ means the initial change in output due to the policy introduction. $t|Y_t^{CF} = Y_t^{BS}$ means the time in years needed for the transition path to catch the baseline BGP. CEV is the consumption equivalent variation for the representative household in the baseline economy to have the same lifetime utility as in the transition economy. Δg_0^j is the contribution of innovation type j on welfare change over the transition path.The difference between the sum of the three margins and the CEV reflects the impact of production labor input changes over the transition path. For the formal definitions, see Appendix C.1.